



ARM
ARM CEMENT LTD
(Formerly Athi River Mining)

40TH ANNUAL REPORT & FINANCIAL STATEMENTS 2013





Our structure defines the roles and responsibilities for management and develops the pipeline of future managers



TABLE OF CONTENTS

▪ Notice of Annual General Meeting	2
▪ Proxy Form	3
▪ Directors & Corporate information	6
▪ Chairman's Statement	8
▪ Managing Director's Report	15
▪ Board of Directors	20
▪ Report of the Directors	26
▪ Corporate Governance Statement	28
▪ Rhino Cement Foundation Chairman's Report	34
▪ Statement of Directors' responsibilities	39
▪ Independent Auditors' Report	40
▪ Financial Statements:	
□ Consolidated statement of profit or loss and other comprehensive income	41
□ Consolidated statement of financial position	42
□ Company statement of financial position	43
□ Consolidated statement of changes in equity	44
□ Company statement of changes in equity	45
□ Consolidated Statement of cash flows	46
□ Notes to the Consolidated Financial Statements	47 - 85



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40TH ANNUAL REPORT AND FINANCIAL STATEMENTS 2013

NOTICE is hereby given that the 2014 Annual General Meeting will be held at Laico Regency Hotel, Nairobi on Friday, 18th July 2014 at 10:30 a.m.

AGENDA

Ordinary Business

1. To read the Notice convening the meeting
2. To approve the minutes of the previous Annual General Meeting held on 10th July 2013.
3. To receive the Balance Sheet and Accounts for the year ended 31st December 2013 together with the Reports thereon of the Directors and Auditors.
4. To approve the Directors Remuneration as provided in the accounts for the year ended 31st December 2013.
5. To approve the payment of the first and final dividend of Kshs. 0.60 cents per share in respect of the year ended 31st December 2013.
6. To re-elect Directors.
- 6.1 Mr. Daniel Mutisya Ndonge retires from the Board under the provisions of Article 95 of the Articles of Association and being eligible, offers himself for re-election.
7. To note that Deloitte & Touche continue in office as auditors in accordance with the provisions of Sec. 159 (2) of the Companies Act and to authorise the Directors to fix their remuneration for the ensuing financial year.

By Order of the Board

R.R. Vora
Secretary

31st March 2014

Note: A member entitled to attend and vote at the Meeting is entitled to appoint one or more proxies to attend in his stead. A proxy need not also be a member.



I/We

of

being a member/s of ARM Cement Limited, hereby appoint:

.....

of

or failing him/her,

of

as my/ our proxy to vote for me/us and on my/ our behalf at the Annual General Meeting of the Company to be held on 18th July 2014 and at any adjournment thereof

Number of Shares held

Account number of member

As witness my/our hand this day of 2014.

Signature

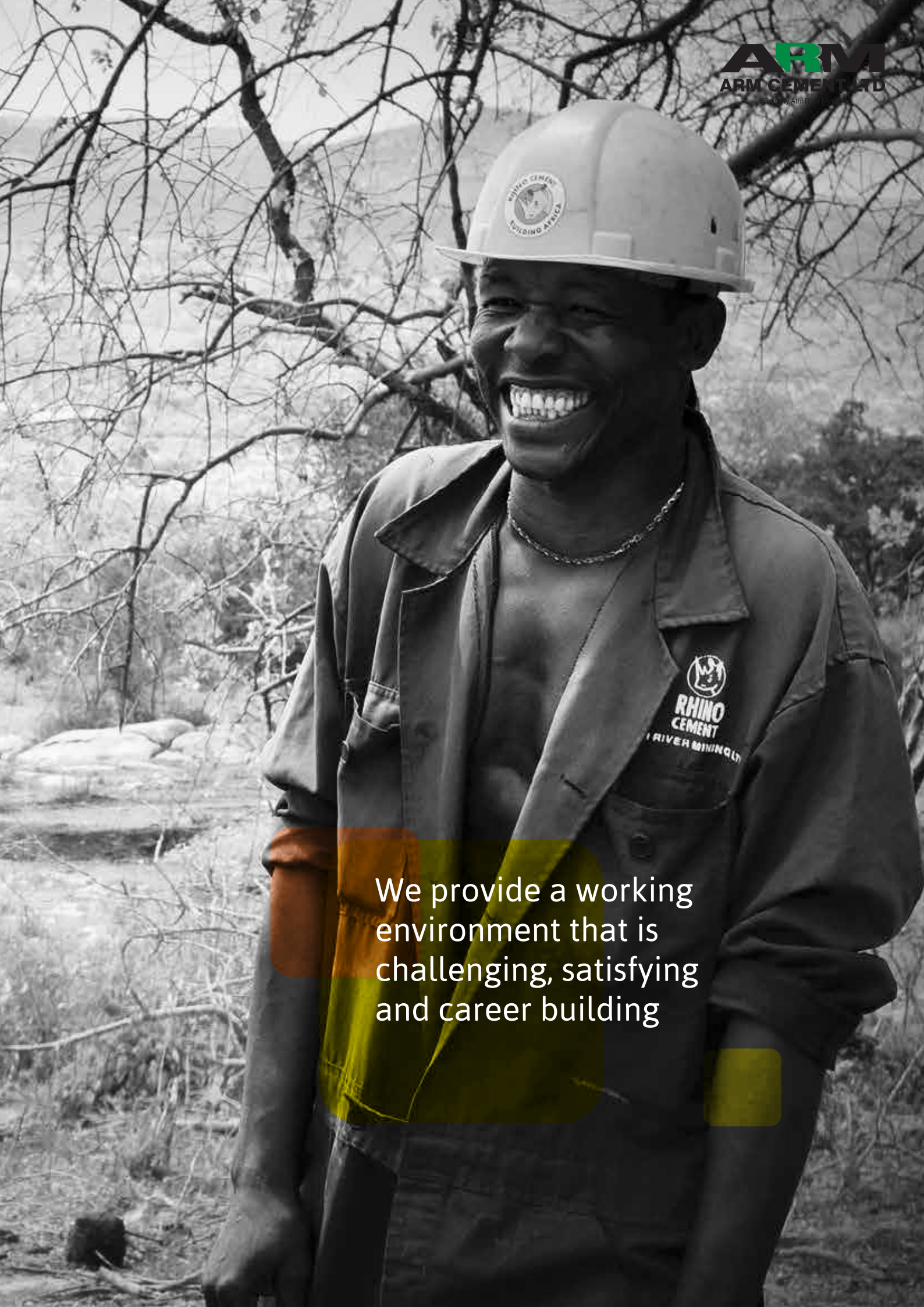
Important Notes:

1. A member entitled to attend and vote at the meeting is entitled to appoint one or more proxies to attend and vote in his stead. A proxy need not be a member of the Company.
2. In case of a member being a corporation, this form must be completed either under its common seal, or under the hand of an offer or duly authorized attorney.
3. To be valid, the proxy form must be deposited at the registered office of the Company not less than 48 hours before the time fixed for the meeting.
4. If you wish, you may appoint the Chairman of the meeting as your proxy.

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TEAR OFF HERE

The Secretary
ARM Cement Limited
P.O. Box 41908 - 00100
Nairobi, Kenya



We provide a working
environment that is
challenging, satisfying
and career building

DIRECTORS

Mr R. Ashley *
Mr P. H. Paunrana
Mr S. L. Bhatia **
Mr A. Mathur **
Mr W. Murungi
Mr D. M. Ndonge
Mr M. Turner *
Mr A. Alli ***
Mrs S. Kilonzo

Chairman
Group Managing Director
Deputy Managing Director
Finance Director

* British
** Indian
*** Nigerian

AUDIT & RISK COMMITTEE

Mr D. M. Ndonge
Mr R. Ashley
Mr W. Murungi
Mrs S. Kilonzo

Chairman

STRATEGY & INVESTMENTS COMMITTEE

Mr R. Ashley
Mr P. H. Paunrana
Mr S. L. Bhatia
Mr A. Mathur
Mr M. Turner
Mr A. Alli

Chairman

NOMINATION, REMUNERATION & HUMAN RESOURCE COMMITTEE

Mr W. Murungi
Mr M. Turner
Mr D. M. Ndonge
Mrs S. Kilonzo

Chairman

SECRETARY

Mr R R Vora
Certified Public Secretary (Kenya)
Unit 4, Ground Floor, Delta Riverside Drive
P O Box 48405 - 00100 GPO
Nairobi

REGISTERED OFFICE

Rhino House, Chiromo Road
Westlands
P O Box 41908 - 00100 GPO
Nairobi

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place, Waiyaki Way, Muthangari
P O Box 40092 - 00100 GPO
Nairobi

AUDITORS

Walker Kontos Advocates
Hakika House
Bishops Road
P O Box 60680 - 00200
Nairobi

LEGAL ADVISORS

CFC Stanbic Bank Limited
Kenyatta Avenue
P O Box 30550 - 00100 GPO
Nairobi

BANKERS

Barclays Bank of Kenya Limited
Barclays Plaza Branch
P O Box 46661 - 00100 GPO
Nairobi

Bank of Africa Kenya Limited
Taifa Road
P O Box 69562 - 00400
Nairobi

Citi Bank NA
P O Box 30711 - 00100 GPO
Nairobi

Mr T. Mbathi - Chairman
Mr D. Ndonye
Mr R. R. Vora
Mr P. H. Paurana
Mrs A. Paurana

RHINO CEMENT FOUNDATION TRUSTEES

RICK ASHLEY
CHAIRMAN

It is my pleasure to present to you the Annual Report and Financial Statements for the year ended 31st December 2013 and my Chairman's statement thereon. I will focus particularly on our business strategy, governance and policy achievements in context of the operating environment we faced in 2013.

CONTINUED »

However, we are already well into 2014, so I will also include an indication of the trading environment and our 2014 progress in this report.

40TH ANNIVERSARY 1974 - 2014

Allow me to begin by commemorating the 40th Anniversary year since the founding of the Company by the late Mzee Paunrana.

The Company has recorded many milestones over the years; in financial measures, innovation in products and technology, development of new markets, and regional expansion.

Perhaps, our strength is most evident in our ability to conceive of, and execute, new projects, particularly in greenfield locations.

However, none of these achievements would have been possible without the diligence, passion, and commitment of the many men and women, who have worked in the Company and the Group during the past four decades. As we celebrate our 40th Anniversary year, I sincerely thank each, and everyone, of our 3,500 employees across Kenya, Tanzania, Rwanda and South Africa, and the many more who have been on our journey during the past 40 years. They have all contributed immensely to the successful growth of the Company. I also take this opportunity to thank all our customers and suppliers for their steadfast support over our 40 years on behalf of the Board of Directors.



Elikana Matende, joined ARM in 1979 and is the longest serving staff member at ARM. He stands proudly next to first ball mill which was used to produce 500 kgs per hour of agriculture lime

2013 REVIEW

I shall concentrate on the business environment and our operations in our 2 most important markets, Kenya and Tanzania.

KENYA

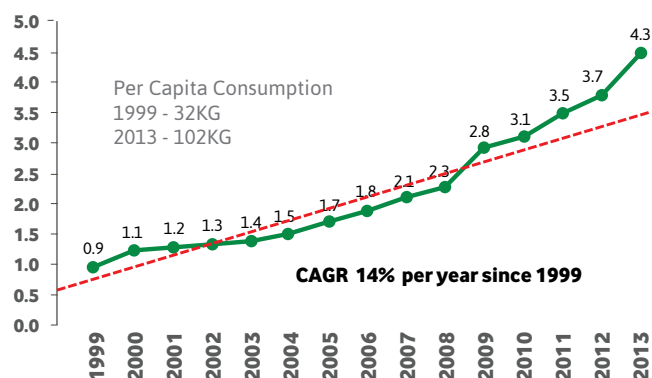
The country held its first general election under the new constitution in March 2013. The elections were peaceful. However, the country experienced low economic activity in the first half of the year and demand for cement, and other products manufactured by the Group, was flat.

The implementation of the new constitution presented the Jubilee Government with many challenges. However, the economy regained momentum and GDP growth was 4.7% for the year. Foreign exchange rates remained stable during 2013 and interest rates were slightly lower than the rates experienced in 2012.

Cement consumption resumed growth in the second half of the year, and increased by 4% over the previous year's consumption, to stand at 4.3 million tonnes per annum. During the year new cement capacity of about 600,000 tonnes came on stream from a couple of new entrants who produce cement with imported clinker.

However, your Company maintained its market share by focusing on customer service, manufacturing a superior quality of cement, and better management of logistics and distribution. The Company continues to operate at nearly 88% of installed capacity into 2014, and is not only maintaining market share, but managing to hold pricing and margin.

KENYA HISTORICAL CEMENT DEMAND 1999-2013



All figures in ' Million tons

It is worthwhile to note that whilst all new players are producing cement using imported clinker (an intermediate product of the cement manufacturing process), ARM's strategy remains to manufacture its

own clinker. The investment in integrated plants, both in Kenya and Tanzania, is significantly higher than that required for a grinding plant. However, the Management and Board of the Group's intention is to control and capture the entire value chain, from mining limestone, to manufacturing cement of different grades, and distribution through the numerous evolving channels. Capturing the full value of the manufacturing process also allows the Group to operate with higher margins than competitors who rely on imported clinker without the exposure to foreign exchange fluctuations and transport costs that these competitors face.

TANZANIA

Let me now turn to Tanzania, and our progress there. 2013 marked your Group's first full year of cement production and sales from our Dar es Salaam grinding plant which was commissioned in October of 2012. The Company's Rhino Cement brand managed to capture significant market in its first full year of operation.

The Tanzanian economy has been growing at a faster rate than Kenya over the past few years, and in 2013 recorded a GDP growth rate of 7.0% pa. This continued growth has fueled demand for cement with consumption in 2013 increasing by 15% over the previous year, to stand at 3.2 million tons. As in Kenya, growth in demand in Tanzania continues to attract new players, including traders who continue to import increasing quantities of cement from China and Pakistan. The imports, however, are often landed without paying the correct import tariffs and VAT. The cement industry is actively lobbying the Government to enforce proper tax collection from the cement

this growth has begun to attract new players, and existing cement manufacturers have announced plans to increase capacity, we believe your Group has an early advantage in this market in terms of the clinker based capacity we continue to invest in.

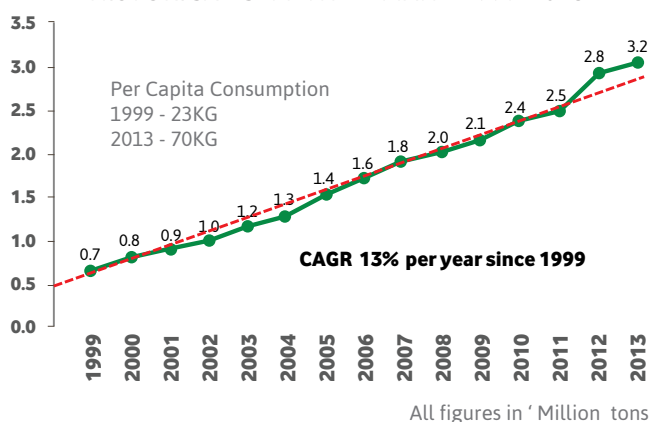
The ongoing investment in the 1.2 million ton per year clinker plant in Tanga, Tanzania, will be the largest capacity increase in the region. The Tanga plant will add a further 750,000 tons per year of clinker based cement capacity, completing our total Tanzania planned capacity of 1.5 million tons per year of cement using our own clinker.

The clinker based capacity of 1.5 million tons per year will give your company a significant cost advantage, with ability to increase market share in the region. We are now confidently looking at commissioning the plant during the second half of 2014, and more than doubling the Company's revenue and profitability over the 2 to 3 years.



Dar Es Salaam cement plant with capacity of 750,000 tons per year

TANZANIA HISTORICAL CEMENT DEMAND 1999-2013



importers and traders.

Clearly, cement consumption in the East African region is growing on the back of sound fundamentals, and the potential for further growth remains huge. Although

FUNDING

Your Board recognizes the strain on resources that the investment in capacity and the construction period create. We continue to manage these prudently and remain comfortable with our projections that the increased free cash flow generated by commissioning of the Tanga clinker plant will enable the Group to reduce the debt accumulated during the construction phase.

STRATEGY

Your Company's strategy continues to be single minded - it is not about being the biggest, or overcoming competition and achieving the highest margins, but about making a difference for all our stakeholders, including you, our shareholders, in a significant way. I feel it is worth repeating how we focus on creating value for all our stakeholders:

- We build plants at lower than industry average costs, creating value for our shareholders
- We manufacture high quality, high strength cement economically and efficiently creating value for our customers
- We empower our employees to make social investments, creating value for both the employees and for our communities
- In Building Africa, we are creating value for Africa and its people

Our strategy aims to make the company resilient in uncertain times and competitive environments, whilst creating opportunities to increase cement capacity, improve operating efficiencies and increase shareholder value.

We continue to further increase our market presence in Kenya, Tanzania and Rwanda, and to complete ongoing projects, and we are also focusing our attention on new locations within the region, for building a new clinker based cement plant.

In April of 2014, we finally acquired 100% equity stake and full control of our Rwanda grinding plant, and are now planning to increase capacity and market share through our Rhino Cement brand.

We have now introduced bulk delivery of cement for the large contractors and ready mix concrete producers in Nairobi and Dar es

Salaam. Further, to meet the increasing demand for high strength cement, especially in the high rise construction and infrastructure projects, the Company has taken a lead in manufacture of 42.5 grade of pure clinker based cement as well as high strength slag based cement.

Finally, our strategy for growth remains driven by exploration for new limestone and raw material deposits, including land acquisition where new plants can be built. We have made much progress in Kitui County in Kenya, and have commenced discussions with our bankers on project funding for the construction of our next 2.5 million tons per year clinker and cement plant. As we go forward, building new clinker based capacity will remain at the heart of our strategy of Building Africa.



Rick Ashley & Daniel Ndonye at Kitui Limestone deposit

During the year under review, much progress was made in implementing a series of initiatives to improve skills development and talent retention of our staff throughout the Group. The Board recognises that the key to our successful growth and management of our business across is dependent on building a culture of highly trained and motivated employees. The active participation of our employees in the social investment activities of Rhino Cement Foundation has become part of the Company's culture, and we have seen many mutual benefits for our communities as well as for the employees.

SHAREHOLDER VALUE & SHARE PERFORMANCE

As you will have seen, your Company's share price has performed extremely well, having increased by 100%, from KES 45 at the beginning of the year, to KES 90 by December 2013.

The fundamentals of the Kenyan economy remain strong and demand for cement and other products in

the Group's portfolio are continuing to grow at a brisk pace. More importantly, the Group's revenue generation is now spread between Kenya, Tanzania and the region, and this helps in diversification of political and economic risks. The market value of your Company is a reflection of its asset value and long term cash generation, and in view of the growth potential, particularly

after commissioning of the Tanga plant, the shareholder value will continue to grow.

GOVERNANCE

Board governance and policy setting goals to implement strategy remain at the heart of your Board's role. During the year, the Board and the various committees provided valuable strategic advice to management, especially in the areas of strengthening internal processes and new projects. We will miss the contribution of Stella Kilonzo, as she had to resign early this year to take up a full time position at African Development Bank in Tunisia. I take this opportunity to wish her well in her future career.

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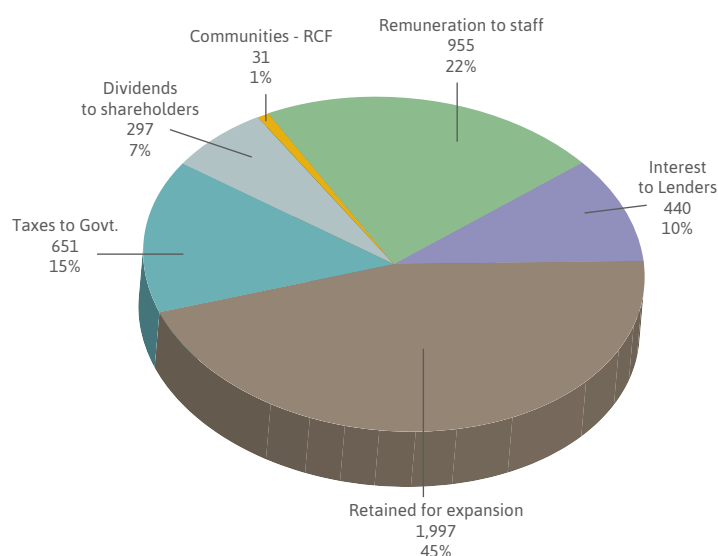
RISK MANAGEMENT POLICY

During the year, your Board constantly monitored and reviewed the operations and the challenges faced by the Group. A number of key policy decisions were made during the year to further strengthen the role of internal audit and risk management, as well as to create a real time MIS dashboard (management information systems) and the IT platform. Over the past year, much progress has been made in these areas. In the skills development and talent retention, progress is also clearly visible. The company has now embarked on several programs that will enable employees across all our plants and locations to communicate and integrate with each other, and work with the same values in a common company culture.

HEALTH, SAFETY AND ENVIRONMENT

Health, safety and environmental management and compliance of the laws and regulations are an integral part of the company's strategy to remain significant to our employees, neighbours and communities. Your Board is confident that the Group is fully compliant with the relevant laws and regulations by National Environment Management Authority and other government departments. During the year, the Company installed online emissions and air quality monitoring equipment at the Kaloleni plant. Your Company is the first in the region to install such equipment, and to provide the regulatory authorities a transparent and independent data on compliance.

DISTRIBUTION OF WEALTH CREATED



As Chairman of the Board, I take particular pride in presenting the chart showing the distribution of wealth created during the financial year.

The total wealth created grew by 19%, from KES 3.7



billion in 2012, to KES 4.4 billion in 2013. 15% of the wealth created during the year was paid to the Government in form of corporate tax, whilst 45% was reinvested in expanding capacity and growing the business. The Company paid 10% to providers of finance, whilst 22% was paid to employees and 7% to shareholders. The balance of the wealth created was allocated to Rhino Cement Foundation. I strongly recommend all our shareholders to watch the documentary, on our website, on the activities of the Foundation and how it is helping to Build Africa.

OUTLOOK

2014 has started off well, and we look forward with confidence to achieving robust growth during the year particularly in Tanzania. The commissioning of the clinker plant at Tanga in the second half of this year will significantly improve profit margins in our Tanzania operation as we stop the importation of clinker. We remain convinced of the fundamentals of a strong regional economy and growth in cement demand particularly from private sector housing demand and public infrastructure projects.

The delivery of shareholder value requires many committed partners. I take this opportunity on behalf of the Board to applaud management and all our employees on another year of exceptional performance and unwavering commitment to the bold vision of the company.

I must also acknowledge the guidance and support of my colleagues on the Boards, particularly in Kenya and in Tanzania. Their advice and wise counsel remains fundamental to your Company's progress ■

Sincerely,

Rick Ashley
CHAIRMAN



We care for our
Employees and
needs of their
families



We work as teams
and share
information
freely to simplify
working in the
Company

PRADEEP H. PAUNRANA

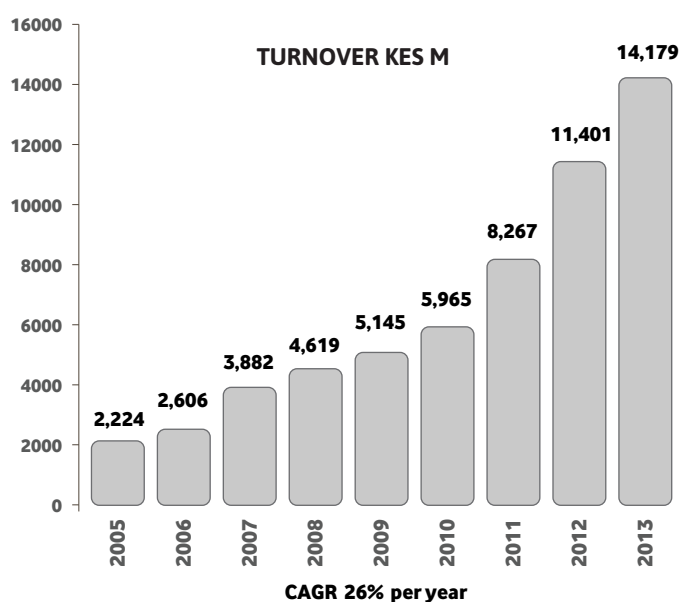
MANAGING DIRECTOR

A PREDICTABLE YEAR

Kenya's general elections in 2013 saw a peaceful transition to a new devolved government system. Although the economy had slowed down in the early part of the year, business confidence picked up after the elections and cement consumption grew by 4% over the previous year. The Company maintained its market share and operating margins in spite of increased competition. The Tanzanian cement market on the other hand grew by 15% and allowed the Company's Rhino Cement brand to be well established throughout the country. 2013 was thus another successful year for the Group, with full year of operations at our new grinding plant at Dar Es Salaam. Operating margins in Tanzania were lower than in Kenya, as expected, because of use of imported clinker. However, margins will improve significantly when we begin to produce our own clinker at the Tanga plant later in the year.

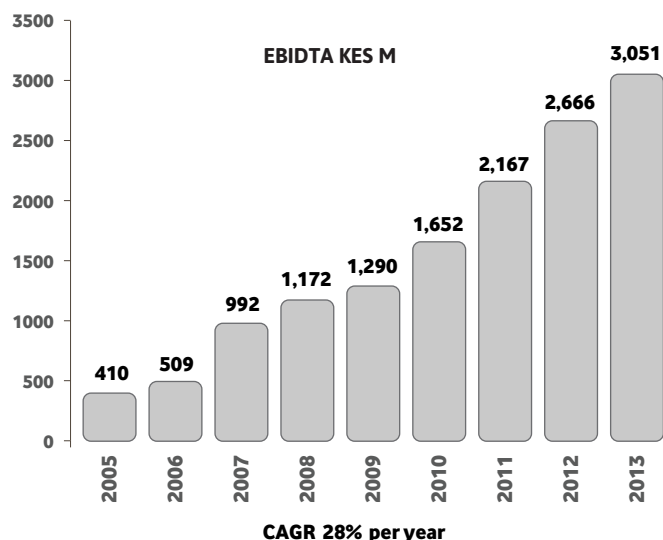
The contribution of cement business to the Group turnover has been increasing over the past few years, and stood at 86% in 2013. The non-cement business remained stable during the year and made a healthy contribution to the Group, with prospects of a strong growth in this segment in 2014.

2013 ANNUAL RESULTS

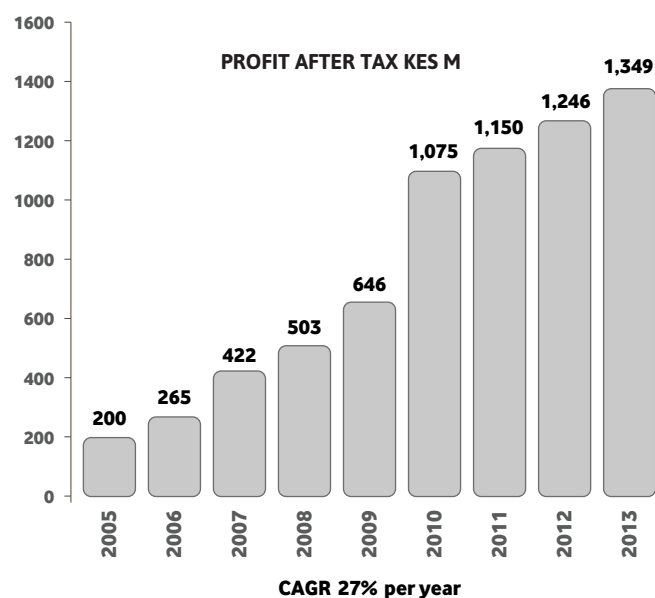


The year marked a full year of operations at our Cement grinding plant in Dar Es Salaam. Group turnover increased by 24% to KES 14.2 billion from KES 11.4 billion in 2012. The turnover growth was driven by

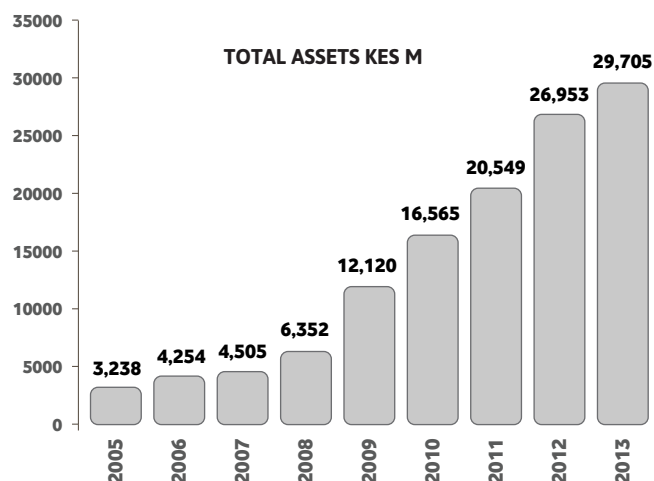
Cement sales which grew by 31% mainly from increased market share in Tanzania. The company's turnover has been growing over the 9 years at a cumulative average growth rate (CAGR) of 26%.



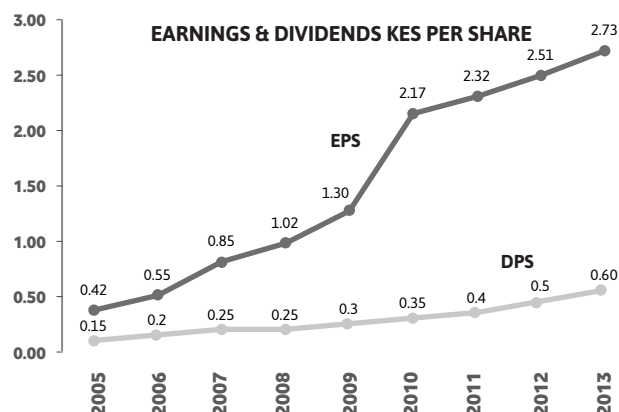
The company earnings before interest, tax and depreciation increased from KES 2.67 billion in 2012 to KES 3.05 billion in 2013, an increase of 14%. The EBITDA margin for 2013 declined from 23 % in 2012 to 21.5%, mainly as a result of utilizing imported clinker in increasing cement volumes and sales in Tanzania. With the use of own Clinker in Tanzania in the second half of 2014, the EBITDA margins will significantly improve.



Profit before tax increased by 12% to KES 2.0 billion over the previous year, net profit for the year stood at KES 1.35 billion, an increase of 8% over the previous year. Net profit margin declined from 10.9 % in 2012 to 9.5 % in 2013. This is expected to improve in 2014 with the commissioning of the Clinker Plant in Tanga.



Total assets grew to KES. 29.7 billion in 2013 from KES 26.9 billion in 2012 as a result of investments in the Tanga plant. No further major investment is expected in 2014 after completion of the Tanga Plant.



Earnings per share has been growing steadily over the last 8 years, at a cumulated average growth rate (CAGR) of 29.1%, and stood at KES 2.70 in 2013.

SKILLS DEVELOPMENT AND TALENT RETENTION



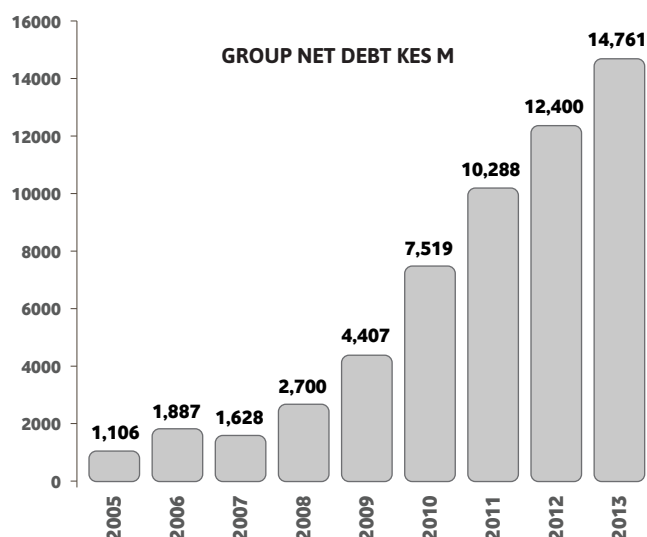
ARM staff training by Stephen Kamau - July 2013

Corporate Value system

As we grow across national boundaries with multiple plants, new regional markets and business cultures, it becomes important that the Company is able to operate uniformly and consistently. To achieve this seamless operational efficiency, the Company launched the ARM Cement Core Values programme. Our value system seeks to create strong bonds between staff while at the same time entrenching a culture of excellence in all our operations. The 4 Core Values are:

1. Drive for Excellence
2. Customer Focus
3. Commitment to Teamwork
4. Ethical Behavior and Social Responsibility

This program has been successfully introduced in all plants, and employees share and discuss their work around the values to ensure a common approach to operations and best practices. The implementation of the Core values has now become an integral part of employee performance appraisal process.



The Net debt during the year increased to KES. 14.7 billion from KES 12.4. This was due to the reduction in short term deposits held from KES 2.3 billion to KES 1.5 billion as at December 31, 2013 and increase in working capital facilities at the Dar Es Salaam plant.



Felister Masabo and Pushendra Singh driving Rhino Cement sales in Dar Es Salaam



Skills Development

The Company considers that continuous learning and skill development programs are critical for maintaining its competitive edge in the industry. It is also an important retention tool for the Company.

The Company's training programs seek to increase the skills sets, enhance staff productivity and efficiency. During the year, we focused on developing new skills through carefully designed and coordinated on the job training, classroom training and external programs.

During the year about 300 staff underwent advanced technical and maintenance training, both in Kenya and Tanzania to support the growing operations of the Company.

Internship Programme

The Company's internship program is aimed at giving University and Technical College students a practical edge to their academic qualifications. It provides the students with valuable work experience, contributes to their interpersonal skills development, enhances their academic learning and also provides the students a platform to assess their abilities and interests going forward.

In the year 2013, the Company's internship program offered training to 81 students from various institutions from the following faculties:

- Mechanical Engineering
- Electrical Engineering
- Information Technology
- Chemical Engineering
- Mining & Geology
- Human Resources
- Purchasing & Procurement
- Environmental Engineering

In addition to creating value for the students, the Company believes that the internship program also creates a potential pipeline of future talent and human resources which will support the Company's growth across the region.

Performance management

The company considers performance management system a critical process in the implementation of company's strategy. It is the key link which translates company's plans into results. To achieve this objective the company has implemented a well-structured performance appraisal and management system which drives employees towards achieving the same organisational goals. The system includes regular performance measurement, performance feedback, and documentation of employee progress in the organisation. Through this system, we aim to recognise and reward the employee for their contribution in

achieving the company strategy, as well as create a path for career growth.

PLANT OPERATIONS

The company is continuously engaged in the process of improving the way it does its business - improving operational efficiencies, reducing costs and delivering greater value to our customers.

The Dar es salaam cement plant was commissioned last year. This year the team at Dar plant was focussed on increasing capacity utilisation and improving operational efficiency at the plant.

There were several key initiatives implemented at the Dar plant to improve on operational efficiencies which included resource process mapping to ensure that the right amount of resource was used to deliver every process at the plant. A time and motion study of every task was undertaken to improve the speed of delivering

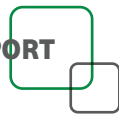


Athi River cement plant with capacity of 600,000 tons

the activity which lead to higher capacity utilisation at the plant. Processes were documented for clarity and simplified to achieve higher adherence to systems leading to increased productivity.

The customer delivery systems were also significantly enhanced and improved with specific focus on truck turnaround times, increasing product range to include bulk & OPC cement, and stringent quality assurance systems to ensure delivery of consistent high quality cement to our customers.

The employee safety was another area of focus, where the company focused on continuous Safety Health and Environment (SHE) training which resulted in the plant achieving an accident free year with no incidents of major accidents.



The company feels that improving operational efficiency is the key to remaining competitive in an increasingly competitive industry and also the foundation for continued profitable future growth.

PROJECT ACTIVITIES

During 2013, the main project activity continued at Tanga with a workforce of 2,280, including specialized engineering and fabrication contractors. Civil construction of 24,000 cubic meters of concrete was completed and nearly 4,000 tons of steel structures, cyclones, conveyor galleries, hoppers, silos, shutes and ductings, and other parts of the plant were also fabricated on site. During the year, much of the heavy equipment was also positioned and erected on foundations. We are particularly proud of the training and skills transfer program at Tanga, where some employees from the surrounding villages have been trained in heavy construction, steel fabrication and machine shop operations, equipment alignment, balancing and erection. A great majority of these employees will now be trained in plant operations and maintenance and become permanent employees of the Company. In the past 4 months, the emphasis at the Tanga site has been on instrumentation and electrical works, and similarly, many young engineering graduates have been trained with the purpose of retaining for full time employment.



At the Company's other plants, projects for capacity enhancement and environmental improvements have yielded significant benefits during the year. Other ongoing project activities include geological exploration and drilling at various sites in the region which will add to the Company's growth in the years to come.

In all respects, 2013 was a successful year for the Group. I thank my management team led by Surendra Bhatia, the Deputy Managing Director, and all the employees at ARM for an excellent performance during 2013.

I would also like to acknowledge the continued support of our distributors, loyal customers, engineers



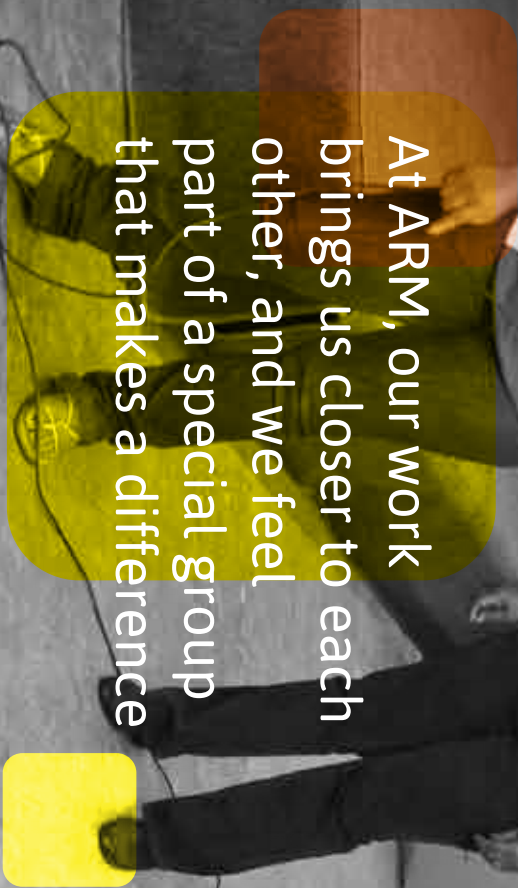
Surendra Bhatia and ARM Geologists drilling cores

and industry professionals in helping us to grow the cement sales volumes by over 31% during this year. I would like to thank our suppliers of raw materials, spare parts, transport and other services for their support in our progress during the year. Finally, I must thank all our bankers and financiers for their continued support and confidence in our strategy for growing the cement business ■

Sincerely,

Pradeep H. Paunrana
MANAGING DIRECTOR

At ARM, our work brings us closer to each other, and we feel part of a special group that makes a difference





RICK ASHLEY
CHAIRMAN

Rick Ashley is a qualified accountant and brings with him over 30 years of experience in the Financial Sector. He was the Chief Executive of Old Mutual Asset Managers, Kenya, and Managing Director of Kestrel Capital (EA) Limited, having previously worked for Peat Marwick, Cayman Islands, Arthur Andersen & Company and Prudential Corporation Plc in London. Mr. Ashley serves on the Board of several companies including Apollo Investments Limited, Apollo Life Assurance Limited, Apollo Asset Management Company Limited and Protectors Limited. He is also the founding Chairman of Fund Managers Association of Kenya and previously served as a member of Market Leaders Forum, Central Bank of Kenya. He serves as a Chairman on ARM's Board, Director of Maweni Limestone Limited, ARM Tanzania Limited, Mafeking Cement Company in South Africa and member of ARM's Audit Committee.



PRADEEP PAUNRANA
MANAGING DIRECTOR

Pradeep H Paunrana joined Athi River Mining Ltd in 1984 after graduating with an MBA from New York University Stern School of Business. Pradeep's main academic interest at NYU and earlier at Manchester University was financial modeling and cashflow accounting. Pradeep was able to combine his business education with the entrepreneurial passion and energy of his late father in growing the Company. Over the years, Pradeep built a team of professionals with a deep culture of transparency, diligence, and innovation to execute the vision of transforming ARM, a small producer of agricultural lime into a major publicly listed cement company. Pradeep plays an active role in several Policy and Advocacy institutions, and has chaired and participated task forces in the energy, environment and agriculture sectors. He is a Board member of Kenya Association of Manufacturers, a Trustee of the Tree Biotechnology Trust, Chairman Nairobi Greenline Trust, and member of several charitable organizations. In 2010, Pradeep was awarded the Africa Business Leader of Innovation by Africa Investor.



SURENDRA BHATIA

DEPUTY MANAGING DIRECTOR

Mr Surendra Bhatia holds a degree in electrical engineering from South Gujarat University and a Masters Degree in Management Studies (MMS) from the prestigious Bombay University in India. A University rank holder throughout engineering college, he also graduated at the top of his Masters Degree class at Bombay University. Surendra has attended many executive education programmes, including an Executive program in Leadership at the Harvard Business School. Surendra Bhatia started his management career with TATA Group, India's largest manufacturing Group, and subsequently developed his professional career with the Bhawan Group in the Middle East and Africa. He joined the ARM Board in the year 2000, bringing a wealth of experience in the field of strategic and corporate planning, and has been instrumental in building the company's core business of cement manufacturing, from technical design and evaluation of plants and machinery, to strengthening the company's presence in key markets and implementing best business practices in the company operations. As Deputy Managing Director, Surendra Bhatia shares a major responsibility with the Managing Director in articulating and delivering the Company's strategic plans, and growing long term shareholder value. He represents the Company at many national and regional forums, and at investor conferences in Africa, Europe and North America. Surendra Bhatia is a trustee of several charitable organizations, and actively participates in community and cultural activities.



ATUL MATHUR

FINANCE DIRECTOR

Mr Atul Mathur is a Chartered Accountant from the Institute of Chartered Accountants of India. He has over 32 years experience in various Senior Management Capacities. Prior to joining ARM as the Group Chief Financial Officer in 2005, he had worked for 13 years with the largest flexible packaging group in India. He had also worked with a leading Construction group in India for about 11 years. He specializes in Project Financing, Development & Implementation of Systems & Controls, Budgeting & Forecasting and Working Capital Management. He is currently looking at Tanzania operations as well.



WILFRED MURUNGI

NON EXECUTIVE DIRECTOR

Mr Wilfred Murungi is a qualified electrical engineer. He started his career with Kenya Power and Lighting Company Limited before joining BAT where he held the position of Technical Director. In 1985 he started his own company Mastermind Tobacco. Mr. Wilfred Murungi serves on the Boards of Athi River Power Company Limited, Greenlands Agro producers Limited, NGM Company Limited, Continental Tobacco Group of Companies in Malawi, Uganda, Tanzania and Sudan, Nanyuki Ranching Limited, Ozzbeco Breweries (K) Ltd, Remu Limited (Microfinance Bank), Mitithiru Limited and Tobacco Commodities (Canada) Inc. He is the Chairman of the Chuka University College Council, and also a member of the National Economic and Social Council. He has also served on the Boards of Kenya Association of Manufacturers, Kenya Bureau of Standards and the Energy Regulatory Board. He was awarded the EBS (Elder of Burning Spear) decoration by the President of the Republic of Kenya in 2005. Eng. Murungi is on the Board of Athi River Mining Limited, Subsidiaries Mavuno Fertilizers Limited, ARM Energy Limited, ARM Tanzania Limited and Maweni Limestone Limited. He Chairs the Remuneration and Nomination Committee and is also a member of the Audit Committee of Athi River Mining Limited.



DANIEL NDONGE

NON EXECUTIVE DIRECTOR

Mr Daniel Ndonge is a Fellow of the Institute of Chartered Accountants in England and Wales, Fellow of the Institute of Certified Public Accountants of Kenya and Fellow of the Institute of Certified Public Secretaries of Kenya. Mr. Ndonge holds Board Director's position in several institutions including the Capital Markets Authority where he is a member of the Appeals Tribunal, Kenol Kobil Limited, Access Kenya Group Limited, Apollo Investments Limited, APA Insurance Limited and Kakuzi Limited. He joined ARM's Board in August 2010 and Chairs the Audit Committee of the Board. He is also on the Board of ARM (Tanzania) Limited, Maweni Limestone Limited and is a Trustee of the Rhino Cement Foundation.



MICHAEL TURNER

NON EXECUTIVE DIRECTOR

Mr. Michael Turner joined ARM's Board in August 2010, Michael Turner is responsible for Actis's \$200m Private Equity investments in East Africa for the last ten years. He has also been managing the \$93m Pan Africa Actis Africa Agribusiness Fund based in Nairobi, Kenya. Mr. Turner is an experienced private equity investor and has developed a deep understanding of agribusiness, financial services, real estates and infrastructure sectors. Prior to joining Actis, Mr. Turner worked in investment banking in London, for Lehman Brothers and Kleinwort Benson, having started his career with Price Waterhouse. Mr. Turner holds a first class degree in Civil Engineering from Southampton University and is also a Fellow of the Institute of Chartered Accountant in England & Wales. Mr. Turner also serves as a Member of ARM's Remuneration and Nomination Committee.



ANDREW ALLI

NON EXECUTIVE DIRECTOR

Mr Andrew Alli is responsible for the overall strategy and operations of the Africa Finance Corporation. The Executive Management under Andrew's leadership has undertaken over US\$300m in investments across Africa, financing high - impact projects like a West African submarine cable, a wind farm in Cape Verde, a toll road in South Africa, and a green power plant in Ghana. Until his appointment, Andrew was a Partner and Deputy Chief Executive Officer of Travant Capital, a West - Africa focused private equity fund. Prior to that, he was with the International Finance Corporation, the private sector financing arm of the World Bank Group, in Washington, as an investment officer working first in the Oil Gas and Mining Department and then in the Telecommunications Department. In 2002 he was appointed IFC's Country Manager for Nigeria, responsible for managing IFC's operations. In 2006, he was appointed Country Manager for Southern Africa, where he was responsible for South Africa and seven other countries.



DR. BEN MOSHI

NON EXECUTIVE DIRECTOR
Maweni Limestone Limited

Dr Ben Moshi is an experienced Civil servant, has served for over 25 years in the Government of Tanzania as Permanent Secretary- Ministry of Water Energy and Mineral, Permanent Secretary – Ministry of Tourism Natural Resources and Environment as well as Permanent Secretary – Ministry of Agriculture and Co-operatives. He is the former Chairman of Williamson Diamonds Limited and National Milling Corporation and served on the Board of Directors of Kilimanjaro Gemstones Limited, Minjingu Phosphates Limited, Lake Victoria Environment Management Council. Dr. Ben serves as a Director of Maweni Limestone Limited and ARM (Tanzania) Limited, subsidiaries of ARM. He is also a Director of Selous Farming Limited.



HON. BAKARI MWAPACHU

NON EXECUTIVE DIRECTOR
Maweni Limestone Limited

Hon. Bakari Mwapachu is a graduate from the Makerere University and he has completed a certificate course from the Harvard Business school and holds advanced Diploma in Science Management from Arthur D. Little Management Institute, Cambridge Mass., USA. He has been long standing minister in the Government of Tanzania, as Minister for Justice and Constitutional Affairs, Minister for Public Safety and Security. He has also been Chief Executive of Public Enterprises such as Board of Internal Trade, Air Tanzania, National Insurance Corporation. He has held the position of Chairman of Parastatal institutions including Institute of Development Management, Williamson Diamonds Limited. Apart from serving in parastatal sector, he has also been Permanent Secretary in the Ministry of Water, Energy and Minerals. He is presently the Chairman of ARM's Subsidiaries, Maweni Limestone Limited, ARM Tanzania Limited.



SHAKIR MERALI
NON EXECUTIVE DIRECTOR
Maweni Limestone Limited

Mr Shakir Merali a graduate from London School of Economics, is a seasoned Consultant and Investment Professional with over 20 years experience in Developed and Emerging Markets. He has previously worked with a range of companies, including Fortune 1000 corporations, multinational technology companies across Europe and the United States and start up companies in emerging markets. Mr Merali is now a partner at Aureos Capital in Nairobi and represents Aureos Capital on the ARM subsidiary, Maweni Limestone Limited's Board.



RAMESH VORA
COMPANY SECRETARY

Mr Ramesh Vora is a Member of the Institute of Chartered Secretaries and Administrators of England and a Fellow of the Institute of Certified Public Secretaries of Kenya. He is a Practicing Company Secretary with a client base of over 150 companies ranging from public companies to multinationals and other local companies. He has been the Company Secretary for ARM since 1994 and is a Trustee for Rhino Cement Foundation. Mr. Vora also serves as the Company Secretary for Group Subsidiary Companies ARM (Tanzania) Limited and Maweni Limestone Limited.



The Directors present their report together with the audited financial statements of ARM Cement Limited (“the company”) and its subsidiaries (together, “the Group”) for the year ended 31 December 2013 which show their state of affairs.

PRINCIPAL ACTIVITIES

The principal activities of the company and its subsidiaries are the manufacture and sale of cement, mining and processing of industrial minerals and chemicals, trading in other building products and the sale of fertilisers.

GROUP FINANCIAL RESULTS

	2013 Kes’000
Profit before taxation	2,000,060
Taxation expense	(651,257)
	
Profit for the year transferred to retained earnings	1,348,803
Attributable to	
Owners of the company	1,356,335
Non-controlling interests	(7,532)
	
	1,348,803

DIVIDENDS

The Directors propose the payment of a first and final dividend of Sh 0.6 (2012 – Sh 0.5) per share totalling Sh 297,165,000 in respect of the year ended 31 December 2013 (2012 – Sh 247,637,500).

DIRECTORS

The present Directors are shown on page 6.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Kenyan Companies Act.

BY ORDER OF THE BOARD

R. R. Vora
Secretary
NAIROBI
31st March 2014



We reward team
achievement and
recognize individual
performance through
measurable targets



INTRODUCTION

ARM Cement Limited is fully committed to the principles of transparency, integrity and accountability. The Directors are ultimately accountable to all stakeholders for ensuring that the Group's business is conducted in accordance with high standards of corporate governance. Of particular importance to the Group are the observance of shareholders' interest, efficient practices and open corporate communication systems. The directors also confirm that they have complied with the corporate governance guidelines as issued by Capital Market Authority (CMA).

Separation of Responsibilities

The roles and responsibilities of the Board of Directors and those of management are clearly set out. The Board of Directors take the overall responsibility of the Group. It exercises leadership and sound judgement in directing the Group to achieve sustainable growth and acts in the best interests of the shareholders. The Group has a schedule of matters that are reserved for the Board of Directors. Further, the role of the chair and the Group Managing Director are separate in line with best practice.

BOARD OF DIRECTORS

The names of the Directors who held office in the year and to the date of this report are set out on page 5-6.

The Board is responsible for formulating Group policies and strategies and ensuring that business objectives, aimed at promoting and protecting shareholder value, are achieved. The Board also retains the overall responsibility for effective control of the Group and implements corporate governance policies of the Group.

The Board comprises executive and non-executive Directors. The Directors have diverse skills and are drawn from various sectors of the economy. The Board Chairman and Chairmen of Board committees are non-executive Directors.

The Board meets regularly, at least four times annually. Notices of Board meetings are issued in advance in accordance with the company's Statutes and General By-Laws and are distributed together with the agenda and Board papers to all the Directors beforehand. During the year, the Board convened and held four ordinary meetings.

The Company Secretary is always available to the Board of Directors.

a) Directors' Emoluments

The aggregate amount of emoluments paid to Directors for services rendered during the financial year is disclosed in Note 6 to the financial statements for the year ended 31

December 2013.

b) Related Party Transactions

There have been no materially significant related party transactions, pecuniary transactions or relationships between the company and its Directors or Management except those disclosed in Note 26 to the financial statements for the year ended 31 December 2013.

ROLES AND RESPONSIBILITIES

Chairman of the Board

The chairman of the Board is responsible for the operation, leadership and governance of the Board, ensuring the Board is efficient, focused and operates as a unit. He is the facilitator of the Board and shareholders' meetings ensuring flow of opinion and leading discussions to ensure robust and constructive challenge and debate among those present.

Group Managing Director

The Group Managing Director is responsible for the day to day management of the Group including implementation of policies and strategy. Board authority delegated to management is through the Group Managing Director, who is supported in this role by the executive committee.

Company Secretary

The Company Secretary provides the Board of Directors with detailed guidance on the discharge of their duties in terms of legislation and regulatory requirements of relevant jurisdictions. The company secretary is the central source of information and advice to the Board and within the Group on matters of good governance and business ethics ensuring that the proceedings and affairs of the Board, the company itself and its shareholders are properly administered.

BOARD TRAINING

To ensure that the Board remains up to date on new legislation, best practice, changing risks together with the ever changing operating and business environment, all Directors are provided with training and are encouraged to attend training.

BOARD COMMITTEES

The Board has in place three main committees, namely Audit and Risk Committee, Nomination, Remuneration & Human Resources (HR) Committee and Strategy & Investments committee. To discharge its mandate effectively, the Board delegates its authority to various sub-committees, whose chairpersons report to the Board. These committees assist the Board in ensuring that proper policies, strategies, internal controls, and organizational structure are in place to achieve the Group's objectives and obligations to its stakeholders. All



the committees have detailed terms of reference and hold meetings as necessary. The Board may delegate some of its powers to any committee and may appoint any other committee, including ad hoc task forces, as and when it is deemed necessary. The authority for the day to day running of the Group is delegated to the Managing Director.

a) Audit and Risk Committee

The Audit Committee is chaired by a non-executive Director, Mr. D.M Ndonye, and meets at least twice a year. Other members are three non-executive Directors Mr. R. Ashley, Mrs Stella Kilonzo and Mr. W Murungi. The responsibilities of this committee are the review of financial information and the monitoring of the effectiveness of management information and internal control systems. The Committee receives reports from both external and internal auditors and also monitors implementation of audit recommendations, on behalf of the Board.

b) Nomination, Remuneration & HR committee.

The Nomination, Remuneration & HR committee is chaired by a non-executive Director, Mr. W Murungi. The other members are three non-executive appointees of the Board Mr. M. Turner, Mrs S. Kilonzo and Mr. D. Ndonye. The Committee meets at least three times a year and is responsible for assisting in, and making recommendations on, the formulation by the Board and review of the general administrative and procurement policies of the Company and the Company's Policies on Human Resource requirements.

c) Strategy & Investments committee.

The Strategy & Investments committee is chaired by a non-executive Director, Mr. R. Ashley. The other members are two non-executive appointees of the Board Mr. M. Turner and Mr Alli as well as three executive appointees of the Board; Mr. P H Paunrana, Mr. S L Bhatia and Mr. A Mathur. The Committee meets at least four times a year and is responsible for assisting in, and making recommendations on the formulation by the Board and review of the Company's strategies and investments.

CONFLICT OF INTEREST

Business transactions with all parties, directors or their related parties are carried out at arm's length. The Directors are under fiduciary duty to act honestly and in the best interest of the Group. The Directors have submitted their annual declaration of interests which include:-

- An acknowledgment that should it come to his/her attention that a matter concerning the Group may result in a conflict of interest, the Director is obliged to declare the same and will exclude himself/herself from any discussion over the matter in question.

- An acknowledgment that should the director be appointed to the board or acquire a significant interest in business competing with the Group, the director will be obliged to offer his/her resignation.
- An acknowledgment that the forgoing also applies to interests of the immediate family members of the directors.

Business transactions with the directors or their related parties are disclosed in Note 26 to the financial statements for the year ended 31 December 2013.

BUSINESS ETHICS

The company conducts its business in compliance with high ethical standards of business practice. In this respect, transactions with its intermediaries, employees and other stakeholders are conducted at arm's length, with integrity and transparency.

RISK MANAGEMENT AND INTERNAL CONTROL

Management, in consultation with the Board Committees, is responsible for the company's day-to-day overall risk management to minimize potential adverse effects on its financial performance while the Board is responsible for the company's system of internal control and for reviewing its effectiveness. The company has an ongoing process of identifying, evaluating and managing significant risks inherent in its business, by the audit and risk department. This process is also reviewed by the Internal Auditor. The internal Auditor reports administratively to the Managing Director and functionally to the Audit and Risk Committee. As part of the independence required by the Group's governance policies, the Internal Audit annual work program and budget are separately approved by the Audit and Risk Committee, which also reviews and approves audit reports and internal audit annual report. The company has in place a chain of controls which include, but are not limited to, an annual budgeting process, a regular review of strategic initiatives, a well defined organizational structure which is kept under regular review by the Board and review of quarterly financial and operating information by Management and the Board.

RESPONSIBILITY FOR STAFF WELFARE AND TRAINING

As part of its policy, the company recognizes the need for diversity, equal opportunities, gender sensitivity and provision of a safe and conducive work environment for its entire staff. The company assists its staff to undertake continuous professional and development training programmes to fulfill their potential. This process is appropriately managed to align staff development with the company's strategic and business goals and objectives, and is reinforced with appropriate



remuneration and incentive systems.

COMPLIANCE

The Group operates within the requirements of the Constituent Charter, its Statutes and General By-Laws and adopts certain universally accepted principles in the areas of human rights, labour standards and environment in its commitment to best practice. Additionally, the Group prepares its financial statements in accordance with International Financial Reporting Standards (IFRS).

COMMUNICATION

The Group subscribes to the principles of objective, honest, prompt, balanced, relevant and clear communication of its strategy and activities. To this end, the Group continues to promote dialogue with shareholders, media and investors.

Shareholders are encouraged to attend the Annual General Meeting which provides the shareholders with the opportunity to question the Board ■



Mr. Surendra Bhatia - Deputy Managing Director



ARM was the first Kenyan listed company to formally adopt a Charter of Corporate Governance in 2002.

For us corporate governance is about protecting and growing shareholder value through a framework of fairness, accountability and transparency to all our stakeholders.

Corporate Governance is the bedrock on which our business is anchored.



2013 BOARD & BOARD COMMITTEES MEMBERSHIP AND ATTENDANCE

DIRECTOR	CLASSIFICATION	DESIGNATION	BOARD	AUDIT COMMITTEE	NOMINATION & REMUNERATION COMMITTEE	STRATEGY & INVESTMENT COMMITTEE
Mr. R Ashley	Non-Executive	Chairman of the Board & Investments and strategy committee	✓ 3/3	✓ 4/5	n/a n/a	✓ 3/3
Mr. P H Paunrana	Executive Director	Managing Director	✓ 3/3	n/a n/a	n/a n/a	✓ 3/3
Mr. S L Bhatia	Executive Director	Deputy Managing Director	✓ 3/3	n/a n/a	n/a n/a	✓ 3/3
Mr. A Mathur	Executive Director	Finance Director	✓ 3/3	n/a n/a	n/a n/a	✓ 2/3
Mr. W Murungi	Non-Executive	Chairman Nomination & Remuneration committee	✓ 2/3	✓ 5/5	✓ 2/3	n/a n/a
Mr. D M Ndonge	Non-Executive	Chairman Audit & Risk Committee	✓ 3/3	✓ 5/5	✓ 3/3	n/a n/a
Mr. M Turner	Non-Executive	Director	✓ 3/3	n/a n/a	✓ 2/3	✓ 3/3
Mr A. Alli	Non-Executive	Director (Appointed October 2012)	✓ 3/3	n/a n/a	n/a n/a	n/a 2/3
S Kilonzo	Non-Executive	Director (Appointed October 2012)	✓ 2/3	✓ 2/5	✓ 3/3	n/a n/a

✓ Member of respective committee

Where a Director did not attend a Board or Board Committee meeting, an acceptable apology had been received by the Chairman well in advance of the scheduled meeting. Some Board members did not serve on the Board for the full year hence non attendance of meetings when they were not on the Board.

SHAREHOLDING PROFILES

The company, through its Registrar, files returns regularly in line with Capital Markets Authority and the Nairobi Securities Exchange under the listing regulations on transactions related to shareholders.

a) Principal Shareholders

The top 10 major shareholders, based on the company's share register as at 31 December 2013, are as follows:-

NAME	NO. OF SHARES	%
Amanat Investments Limited	13 7,481,245	28
Paunrana Pradeep Harjivandas	89,680,000	18
CfC Stanbic Nominees Ltd A/C Nr01503	32,472,800	7
Athi River Mining employee share ownership plan	22,806,235	5
Standard Chartered Nominees non-resident. a/c 9867	15,972,500	3
Standard Chartered Nominees non-resident. a/c 9318	14,727,900	3
Wilfred Murungi	5,834,310	1
Standard Chartered Bank a/c Pan African unit linked Fund	4,790,150	1
Standard Chartered Nominees a/c 14353	4,766,530	1
Standard Chartered Nominees non-resident. a/c 9279	3,919,900	1
Others	162,823,430	32
TOTAL	495,275,000	100

b) Distribution Schedule

CATEGORY	NO. OF SHAREHOLDERS	NO. OF SHARES	%
Less than 500	1,490	427,288	0.09
501-5,000	1,834	4,488,452	0.91
5001-10,000	1,199	8,008,950	1.62
10,0001-100,000	578	16,884,193	3.41
100,001 - 1,000,000	176	64,415,964	13.01
Over 1,000,000	53	401,050,153	80.96
TOTAL	5,330	495,275,000	100

Chairman

Managing Director



We encourage and
provide opportunities for
employees to demonstrate
initiative, innovation and
improvements in
operational efficiency



RHINO CEMENT FOUNDATION

CHAIRMAN'S REPORT



Titus Mbathi - Chairman, Rhino Cement Foundation

I am pleased to report on the 2013 achievements of the Rhino Cement Foundation. Although my report is limited to the activities in Kenya, the Company already has similar ongoing social investments in Tanzania. We intend to formally register the Foundation in Tanzania, and to continue the noble work in that country too.

The Foundation is funded by ARM Cement and also supported by the Company's business partners, employees and other well-wishers. Lately, some of our foreign investors have also contributed to the Foundation. Although the Rhino Cement Foundation has been registered as a charity, we are yet to be recognized by the Kenya Revenue Authority as such. In the meanwhile, all expenditure by the Company for the Foundation is subject to taxation, and therefore the contribution from the Company is specially appreciated. On behalf of the Trustees, I express my gratitude to the Company and all our donors and supporters.

The Trustees of the Foundation are named under Corporate Information, and I extend my appreciation to them for their advice and wisdom in setting the direction and pace of the Foundation which is run on a day to day basis by the Company staff. I commend them for the time and energy they devote in improving the livelihoods of our fellow community members. This has been amply demonstrated in our recent video documentary which I urge you all to watch.

www.armacfrica.com

I can say with confidence that our investments in Health, Education, and Environment have had a positive and sustainable impact on the social and economic well-being of the communities in which we operate. I am pleased to record some of the highlights of investments we have made during the year amounting to about KES 30 million.

EDUCATION

High School and University Scholarship Program

The High School and University Scholarship program continues to take the largest portion of the Foundation's budget. In 2013 we received a wide pool of applicants and selected 16 boys and 16 girls to study in some of the leading boarding high schools in the country. This brings to a total of 85 children that we fully support in the country. The criteria of selection remains our promise to give the brightest children from underprivileged backgrounds a first class education and equal opportunity to excel and develop their talent for further higher education. Each of the children is linked to a mentor from within our staff who have volunteered to monitor their progress and wellbeing. The children are all performing in well and thriving in their respective classes.

Our program for University scholarships is similarly available to the brightest students who have secured a place at one of the 7 public universities in Kenya, but are unable to raise the required fees. In 2013, we received more than 500 applications, and although the majority qualified for the scholarship, we were able to offer only to the most deserving 16 students. The selection process is always very difficult for our staff, and rejecting any of the applicants is an emotionally agonizing decision. However, I am pleased to confirm that whatever little budget the Trustees allocate to this program, it is an extremely rewarding investment in our young people. As with all the other students under the program, the scholarship caters for tuition expenses and accommodation and in some case other necessities.

The Foundation now has a total of 32 university scholars, in various academic fields such as medicine, engineering, environmental studies, architecture, and social sciences. These students are encouraged to join the Company's internship programs where they also receive valuable practical training, career guidance and mentorship.

“Rhino Cement Foundation has changed my life and my future. My family could not have raised the required fees. I'm now able to pursue my dream of becoming an engineer and some day soon help other members of my family and community just as Rhino Cement Foundation does.”

Agnes John Pania
 Rhino Cement Foundation Scholar
Meru University - Bsc Computer Technology



If I did not get the scholarship from Rhino Cement Foundation I do not know how I would have joined the university. I am an orphan and in my situation, Rhino Cement Foundation has changed my life. I didn't have any hope in the past. Now I know I will be able to pursue my dream of becoming a Doctor, and make an impact in my community, and help those who are less able in our midst.



David Karanja
Rhino Cement Foundation Scholar
University of Nairobi - Faculty of Medicine

Partnership with Schools

A considerable portion of our budget is spent on improving the facilities and education standards of a number of schools in Athi River and Kaloleni. In 2013, we signed a 7 year partnership agreement with Mbungoni Primary School, located near our Kaloleni plant, which was founded in 1912, and been alma mater to many prominent Kenyans. The school was in dire need of improvements, and we have committed to provide the necessary financial support in return for a demonstrable improvement in teaching standards, and students' performance in national examinations. We have similar ongoing partnerships with other schools where the Company staff play an active role in the governance of the school to ensure that the funding from the Foundation continues to meet the criteria as set by the Trustees.

Some of the other Schools supported by Rhino Cement Foundation:

- Athi River Primary school - Construction of computer class, and equipping with 30 computers and workstations



- Rabai Primary school - Renovation of classes
- St. Ann's Gichocho - Completion of classroom block
- Oloibor Soit Secondary School - Renovation of classrooms

HEALTH

Rhino Cement Foundation continues to increase the availability of Quality healthcare through various projects such as sponsorship of Eye Clinics and cataract operations for the elderly, material and financial support to public dispensaries, blood donation drives, vaccinations programmes, and occasionally donations to other charities. However, the main area of budgetary allocation for the Foundation has been in the set up and operation of the Mzee Paurana Community Medical Clinic at Kaloleni.

For many years, the Kaloleni area where the ARM Cement factory is located has not had a well-equipped facility where residents can access quality and affordable healthcare. The Foundation thus saw fit to invest in a



Mzee Paurana Community Medical Clinic in Kaloleni

fully-fledged clinic with a pharmacy, a laboratory and facilities to perform minor surgeries. The clinic, located outside the main gate of the plant, has full time qualified staff including laboratory technician, clinical officer, registered nurse, and nurse aides. This team is led by our resident doctor, Dr. Andreas Meyerhold.

The Clinic is open to all patients from the neighboring communities at a nominal charge of KES 150 per visit to cater for the Doctor's consultation, lab tests, any minor surgery, and a full course of medication. Often this fee is waived for those unable to afford. The Clinic treats an average of 1,400 patients per month, nearly half of whom are children under the age of ten. The cost of running the clinic is subsidized by the Rhino Cement Foundation.

CONTINUED »



Dr. Andreas Meyerhold and his team at Mzee Paunrana Clinic

Water Projects

During the year, the Foundation completed the construction of a water tank and piping system and handed over to the Patsama Women's Community Water Project committee. The women's group is responsible for water distribution to nearly 3,000 residents living near the Kaloleni plant. The Foundation is proud to have provided clean water to a community that previously had to walk long distances to fetch water. This is one of many community owned sustainable water projects supported by the Foundation as part of the Health pillar.



Patsama Water Project in Kaloleni

ENVIRONMENT

Cement manufacture is an energy intensive process, and as such, contributes to carbon dioxide emission. Whilst the Company employs international best practices in reducing its carbon footprint, it is equally important that

we lead in the greening of our environment. The Trustees of Rhino Cement Foundation have made a conscious effort to invest in those activities that whilst improving our greenbelts and forest covers, also helps our communities and protects our national heritage.

During the year, the Foundation continued establishing more "green corners" in schools, community centers, and privately owned lands. The Company runs well-established tree nurseries at all its locations for the green corners, and supplements donation of seedlings by partnering with nurseries run by women's and youth groups. The Foundation has now taken over this role and will extend the activities to other parts of the country in association with other non-profit organizations such as the Tree Biotechnology Programme, where our managing Director has been a Trustee since 2008.

During the year, we continued our annual support of the Ngong Forest Sanctuary in Nairobi, and supported charities such as the Nairobi Green Line. However, the major area of our investment under the environment pillar was in support of wildlife conservation, and in particular support of Lewa Wildlife Conservancy, which has recently been recognized by the United Nations as a World Heritage Site. The Conservancy's successful work in protecting and reviving the dwindling numbers of the endangered black rhino is what appealed to the Trustees to invest in this cause. By supporting Lewa, the

Foundation is helping not just to protect our wildlife heritage, but is also supporting health, education and the environment in the communities as Lewa in turn allocates part of its funding for community support.

Appreciation

As Chairman of the board of trustees of the Rhino Cement Foundation, I once again thank members of staff of ARM who actively participated in the day to day activities of the foundation. I also thank the management and Board of Directors of ARM for the financial support from them and their trading partners and business associates ■

Sincerely,

Titus Mbathi
 CHAIRMAN,
 RHINO CEMENT FOUNDATION



His Excellency Governor Amason Kingi of Kilifi County, Senator Stewart Madzayo, Principal Secretary Ministry of Environment and Natural Resources, Richard Lesiyambe and Kaya elders at Lewa Ceremony

Rhino Cement Foundation adopts baby rhino named “Kilifi”

In a colourful, symbolic occasion that united conservation, industry, culture and politics, Lewa's youngest orphan calf acquired a name and a new family. Rhino Cement Foundation adopted the baby rhino who they named 'Kilifi' in honour of Kilifi County, the location of ARM's first cement plant. Speaking at the naming ceremony, ARM Cement Chief Executive Officer Pradeep Paunrana said the decision to sponsor the calf hinges on the company's corporate environment sustainability efforts which include a commitment to conserve the country's rhinos whose population has drastically declined due to rampant poaching.

Officiating at the ceremony were Kaya elders from the Mijikenda community in Kilifi. The highly respected elders act as protectors of their communities' forests, ecosystems, values and traditions and throughout generations have practised conservation.

Also in attendance at the ceremony were political leaders from Kilifi County- Governor Amason Kingi, Senator Steve Madzayo and the Principal Secretary from the Ministry of Environment and Natural Resources, Richard Lesiyambe. Maasai elders from Lewa's neighbouring Leparua community, who, like the Kaya play a great role in upholding positive values in the community were also present. Lewa staff, including the CEO Mike Watson, played host to the visitors.

"While back home in Kilifi, it will be great to know that we have one of our own all the way in northern Kenya and will constantly inquire on his well-being", the governor stated in his remarks.



.....

The Kenyan Companies Act requires the Directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and of the company as at the end of the financial year and of their operating results for that year. It also requires the Directors to ensure that the company and its subsidiaries keep proper accounting records which disclose with reasonable accuracy at any time their financial position. They are also responsible for safeguarding the assets of the Group.

The Directors are responsible for the preparation of financial statements that give a true and fair view of the company and its subsidiaries in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as Directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and of the company and of their operating results. The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the Directors to indicate that the company and its subsidiaries will not remain going concerns for at least the next twelve months from the date of this statement.

.....

RICK ASHLEY
Chairman
31st March 2014

.....

PRADEEP H. PAUNRANA
Managing Director



REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of ARM Cement Limited ("the company") and its subsidiaries (together "the Group"), set out on pages 41 to 85 which comprise the consolidated and company statements of financial position as at 31 December 2013, and the consolidated statement of profit or loss and other comprehensive income, consolidated and company statements of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the Directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the entity's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion, the financial statements give a true and fair view of the state of financial affairs of the Group and of the company as at 31 December 2013 and of the Group's profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

REPORT ON OTHER LEGAL REQUIREMENTS

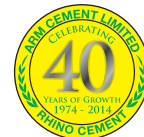
As required by the Kenyan Companies Act we report to you, based on our audit, that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- ii) the company's statement of financial position (balance sheet) is in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditors' report is J W Wangai – P/No.1118.

**Certified Public Accountants (Kenya)
Nairobi, Kenya
2014**

**CONSOLIDATED STATEMENT OF PROFIT
OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2013**



	Note	2013 Sh'000	2012 Sh'000
Revenue		14,179,208	11,400,569
Cost of sales		(10,732,293)	(8,171,396)
			
Gross Profit		3,446,915	3,229,173
Other operating income		174,949	78,115
Net foreign exchange gains		50,164	22,014
Distribution costs		(121,908)	(126,971)
Administrative expenses		(1,200,688)	(961,576)
Finance costs	4	(439,933)	(476,948)
Finance income	5	90,561	26,489
			
Profit before taxation	6	2,000,060	1,790,296
Taxation charge	8(a)	(651,257)	(544,658)
			
PROFIT FOR THE YEAR	9	1,348,803	1,245,638
Other comprehensive income			
Items that may be reclassified subsequently to profit or loss:			
Exchange differences on translating foreign operations		2,047	(29,534)
			
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		1,350,850	1,216,104
Profit is attributable to:			
Owners of the Company		1,356,335	1,241,573
Non-controlling interests		(7,532)	4,065
			
		1,348,803	1,245,638
Total comprehensive income is attributable to:			
Owners of the Company		1,357,907	1,213,224
Non-controlling interests		(7,057)	2,880
			
		1,350,850	1,216,104
EARNINGS PER SHARE - Basic and diluted	10	2.74	2.51

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2013



	Note	2013 Sh'000	2012 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	12(a)	22,442,306	18,622,678
Operating lease prepayments	13	148,763	177,882
Intangible assets	14	194,611	145,118
Goodwill	15	71,012	71,012
			
		22,856,692	19,016,690
			
Current assets			
Inventories	17	2,529,995	3,315,623
Trade and other receivables	18	2,784,216	1,979,319
Due from Employee Share Ownership Plan (ESOP)	19	20,586	31,697
Due from related parties	26(b)	7,040	5,630
Tax recoverable	8(c)	-	12,867
Short term deposits	25(d)	1,344,925	2,270,400
Cash and bank balances		161,800	320,874
			
		6,848,562	7,936,410
			
Total assets		29,705,254	26,953,100
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	20	495,275	495,275
Share premium		302,027	302,027
Revaluation surplus		950,975	1,324,680
Translation reserve		(52,142)	(53,714)
Retained earnings		6,427,905	4,945,503
			
Equity attributable to equity holders of the parent		8,124,040	7,013,771
Trade and other receivables	16(b)	99,692	106,749
			
Total equity		8,223,732	7,120,520
			
Non current liabilities			
Borrowings	21(a)	12,000,820	11,074,247
Deferred income tax	22	2,234,048	2,255,369
Finance leases	23(a)	70	124
			
		14,234,938	13,329,740
			
Current liabilities			
Borrowings	21(a)	4,267,066	3,917,145
Finance leases	23(a)	114	199
Trade and other payables	24	2,399,684	2,556,432
Due to related parties	26(d)	91,441	6,486
Unclaimed dividends	11(b)	3,413	3,479
Tax payable	8(c)	484,866	19,099
			
		7,246,584	6,502,840
			
Total equity and liabilities		29,705,254	26,953,100

The financial statements on pages 41 to 85 were approved and authorised for issue by the Board of Directors on 31st March 2014 and were signed on its behalf by:

.....
RICK ASHLEY
Chairman

.....
PRADEEP H. PAUNRANA
Managing Director

**COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2013**



	Note	2013 Sh'000	2012 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	12(b)	9,550,107	9,467,529
Operating lease prepayments	13	1,738	1,806
Intangible assets	14	1,788	6,204
Goodwill	16(a)	452,642	452,642
			
		10,006,275	9,928,181
			
Current assets			
Inventories	17	1,543,974	2,143,973
Trade and other receivables	18	1,583,961	1,146,518
Due from Employee Share Ownership Plan (ESOP)	19	20,586	31,697
Due from related parties	26(c)	8,953,088	5,871,263
Current tax recoverable	8(c)	-	12,867
Cash and bank balances		1,406,792	2,279,459
			
		13,508,401	11,485,777
			
Total assets		23,514,676	21,413,958
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	20	495,275	495,275
Share premium		302,027	302,027
Revaluation surplus		950,975	1,324,680
Retained earnings		6,392,257	4,983,946
			
		8,140,534	7,105,928
			
Non current liabilities			
Borrowings	21(b)	8,166,329	7,588,589
Deferred income tax	22	2,128,727	2,213,033
Finance leases	23(b)	70	124
			
		10,295,126	9,801,746
			
Current liabilities			
Borrowings	21(b)	3,400,434	2,879,200
Finance leases	23(b)	114	199
Trade and other payables	24	1,047,219	1,548,064
Due to related parties	26(e)	160,730	75,342
Current tax payable	8(c)	467,106	-
Unclaimed dividends	11	3,413	3,479
			
		5,079,016	4,506,284
			
Total equity and liabilities		23,514,676	21,413,958

The financial statements on pages 41 to 85 were approved and authorised for issue by the Board of Directors on 31st March 2014 and were signed on its behalf by:

.....
RICK ASHLEY
Chairman

.....
PRADEEP H. PAUNRANA
Managing Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2013

	Share Capital Sh'000	Share Premium Sh'000	Revaluation surplus* Sh'000	Translation reserve** Sh'000	Retained Earnings Sh'000	Attributable to equity holders of the parent Sh'000	Non- controlling interest Sh'000	Total Sh'000
2012								
At 1 January 2012	495,275	302,027	1,398,911	(25,365)	3,827,809	5,998,657	103,869	6,102,526
Profit for the year	-	-	-	-	1,241,573	1,241,573	4,065	1,245,638
Other comprehensive loss for the year	-	-	-	(28,349)	-	(28,349)	(1,185)	(29,534)
Total comprehensive income for the year	-	-	-	(28,349)	1,241,573	1,213,224	2,880	1,216,104
Transfer of excess depreciation	-	-	(106,045)	-	106,045	-	-	-
Deferred tax on excess depreciation	-	-	31,814	-	(31,814)	-	-	-
Dividends declared – 2011 (note 11(b))	-	-	-	-	(198,110)	(198,110)	-	(198,110)
At 31 December 2012	495,275	302,027	1,324,680	(53,714)	4,945,503	7,013,771	106,749	7,120,520
2013								
At 1 January 2013	495,275	302,027	1,324,680	(53,714)	4,945,503	7,013,771	106,749	7,120,520
Profit for the year	-	-	-	-	1,356,335	1,356,335	(7,532)	1,348,803
Other comprehensive loss for the year	-	-	-	1,572	-	1,572	475	2,047
Total comprehensive income for the year	-	-	-	1,572	1,356,335	1,357,907	(7,057)	1,350,850
Transfer of excess depreciation	-	-	(533,865)	-	533,865	-	-	-
Deferred tax on excess depreciation	-	-	160,160	-	(160,160)	-	-	-
Dividends declared – 2012 (note 11(b))	-	-	-	-	(247,638)	(247,638)	-	(247,638)
At 31 December 2013	495,275	302,027	950,975	(52,142)	6,427,905	8,124,040	99,692	8,223,732

* The revaluation surplus represents the surplus arising from revaluation of property, plant and equipment and is not distributable.

** The translation reserve represents the effect of the change in exchange rates at the beginning of the year and at the close of the year on translation from the functional currencies of the foreign operations to the presentation currency (Kenya Shillings).

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2013



	Share Capital Sh'000	Share Premium Sh'000	Revaluation surplus * Sh'000	Retained earnings Sh'000	Total Sh'000
At 1 January 2012	495,275	302,027	1,398,911	3,881,431	6,077,644
Total comprehensive income for the year	-	-	-	1,226,394	1,226,394
Transfer of excess depreciation	-	-	(106,045)	106,045	-
Deferred tax on excess depreciation	-	-	31,814	(31,814)	-
Dividends declared – 2011 (note 11(b))	-	-	-	(198,110)	(198,110)
At 31 December 2012	495,275	302,027	1,324,680	4,983,946	7,105,928
At 1 January 2013	495,275	302,027	1,324,680	4,983,946	7,105,928
Total comprehensive income for the year	-	-	-	1,282,244	1,282,244
Transfer of excess depreciation	-	-	(533,865)	533,865	-
Deferred tax on excess depreciation	-	-	160,160	(160,160)	-
Dividends declared – 2012 (note 11(b))	-	-	-	(247,638)	(247,638)
At 31 December 2013	495,275	302,027	950,975	6,392,257	8,140,534

* The revaluation surplus represents the surplus arising from revaluation of property, plant and equipment and is not distributable.

CONSOLIDATED STATEMENT OF CASH FLOWS **FOR THE YEAR ENDED 31ST DECEMBER 2013**



	Note	2013 Sh'000	2012 Sh'000
Cash flows from operating activities			
Cash generated from operations	25(a)	2,916,815	1,293,458
Interest paid	25(e)	(671,446)	(820,005)
Interest received	5	90,561	26,489
Corporation tax paid	8(c)	(180,805)	(85,311)
			
Net cash generated from operating activities		2,155,125	414,631
			
Cash flows from investing activities			
Additions to property, plant and equipment	25(b)	(4,323,223)	(2,722,033)
Additions to intangible assets	14	(88,049)	(48,002)
Addition to operating lease prepayments		(4,870)	-
Proceeds of disposal of property, plant and equipment		431	684
			
Net cash used in investing activities		(4,415,711)	(2,769,351)
			
Cash flows from financing activities			
Dividends paid	11(b)	(247,704)	(198,110)
Finance lease payments	23(c)	(139)	(243)
Borrowings received	25(c)	469,655	5,221,351
Repayment of amounts borrowed	25(c)	(757,826)	(694,759)
			
Net cash (used in)/generated from financing activities		(536,014)	4,328,239
			
Net (decrease)/increase in cash and cash equivalents		(2,796,600)	1,973,519
MOVEMENT IN CASH AND CASH EQUIVALENTS			
Cash and cash equivalents 1 January		770,227	(1,204,038)
Net decrease/(increase) in cash and cash equivalents above		(2,796,600)	1,973,519
Effect of translation adjustments		147,358	746
			
Cash and cash equivalents 31 December	25(d)	(1,879,015)	770,227



1 ACCOUNTING POLICIES

(a) Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

(b) Adoption of new and revised International Financial Reporting Standards (IFRSs)

(i) New standards and amendments to published standards effective for the year ended 31 December 2013

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

Amendments to IFRS 7 Disclosures - Offsetting Financial Assets and Financial Liabilities

The amendments to IFRS 7 require entities to disclose information about rights of offset and related arrangements (such as collateral posting requirements) for financial instruments under an enforceable master netting agreement or similar arrangement.

The application of the amendment had no effect on the Group's financial statements as the Group did not have any offsetting arrangements in place.

New and revised standards on consolidation joint arrangements, associates and disclosures

In May 2011, a package of five standards in consolidation joint arrangements, associates and disclosures was issued comprising IFRS 10 Consolidated Financial Statements, IFRS 11 Joint Arrangements, IFRS 12 Disclosure of Interests in Other Entities, IASs 27 (as revised in 2011) Separate Financial Statements and IAS 28 (as revised in 2011) Investments in Associates and Joint Ventures. Subsequent to the issue of these standards amendment to IFRS 10, IFRS 11 and IFRS 12 were issued to clarify certain guidance on first application of the standards.

Impact of the application of IFRS 10

IFRS 10 replaces the parts of IAS 27 Consolidated and Separate Financial Statements that deal with consolidated financial statements and SIC 12 Consolidation – Special Purpose Entities. IFRS 10 changes the definition of control such that an investor has control over an investee when a) it has power over the investee, b) it is exposed, or has rights, to variable returns from its involvement with the investee and c) has the ability to use its power to affect its returns. All three of these criteria must be met for an investor to have control over an investee. Previously, control was defined as the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. Additional guidance has been included in IFRS 10 to explain when an investor has control over an investee.

Specifically, the Group has ownership interest in all its subsidiaries as disclosure under note 16 (a). The directors concluded that the company has control over both subsidiaries on the basis of the Group's absolute size of holding in both entities.



1 ACCOUNTING POLICIES (CONTINUED)

Adoption of new and revised International Financial Reporting Standards (IFRS) (Continued)

(i) *Relevant new standards and amendments to published standards effective for the year ended 31 December 2013 (Continued)*

Impact of the application of IFRS 12	IFRS 12 is a new disclosure standard and is applicable to entities that have interests in subsidiaries, joint arrangements, associates and /or unconsolidated structured entities. In general the application of IFRS 12 has resulted in more extensive disclosure in the consolidated financial statements (please see note 38 for details).
IFRS 13 Fair Value Measurement	The Group has applied IFRS 13 for the first time in the current year. IFRS 13 establishes a single source of guidance for fair value measurements and disclosures about fair value measurements. IFRS 13 does not change the requirements regarding which items should be measured or disclosed at fair value. The scope of IFRS 13 is broad; the fair value measurement requirements of IFRS 13 apply to both financial instrument items and non-financial instrument items for which other IFRSs require or permit fair value measurements and disclosures about fair value measurements, except for share-based payment transactions that are within the scope of IFRS 2 Share-based Payment, leasing transactions that are within the scope of IAS 17 Leases, and measurements that have some similarities to fair value but are not fair value (e.g. net realisable value for the purposes of measuring inventories or value in use for impairment assessment purposes). IFRS 13 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or most advantageous) market at the measurement date under current market conditions. Fair value under IFRS 13 is an exit price regardless of whether that price is directly observable or estimated using another valuation technique. Also, IFRS 13 includes extensive disclosure requirements. IFRS 13 requires prospective application from 1 January 2013. In addition, specific transitional provisions were given to entities such that they need not apply the disclosure requirements set out in the Standard in comparative information provided for periods before the initial application of the Standard. In accordance with these transitional provisions, the Group has not made any new disclosures required by IFRS 13 for the 2012 comparative period. The application of IFRS 13 has not had any material impact on the amounts recognised in the financial statements.
Amendments to IAS 1 Presentation of Items of Other Comprehensive Income	The Group has applied the amendments to IAS 1, Presentation of Items of Other Comprehensive Income, for the first time in the current year. The amendments introduce new terminology, whose use is not mandatory, for the statement of comprehensive income and income statement. Under the amendments to IAS 1, the 'statement of comprehensive income' is renamed as the 'statement of profit or loss and other comprehensive income' (and the 'income statement' is renamed as the 'statement of profit or loss'). The amendments to IAS 1 retain the option to present profit or loss and other comprehensive income in either a single statement or in two separate but consecutive statements.



1 ACCOUNTING POLICIES (CONTINUED)

Adoption of new and revised International Financial Reporting Standards (IFRS) (Continued)

(i) Relevant new standards and amendments to published standards effective for the year ended 31 December 2013 (Continued)

Amendments to IAS 1 Presentation of Items of Other Comprehensive Income (Continued)	However, the amendments to IAS 1 require items of other comprehensive income to be Grouped into two categories in the other comprehensive income section: (a) items that will not be reclassified subsequently to profit or loss and (b) items that may be reclassified subsequently to profit or loss when specific conditions are met. Income tax on items of other comprehensive income is required to be allocated on the same basis - the amendments do not change the option to present items of other comprehensive income either before tax or net of tax. The new terminology have been adopted in these financial statements but in other respects the application of the amendments to IAS 1 does not result in any impact on profit or loss, other comprehensive income and total comprehensive income.
Amendments to IAS 1 Presentation of Financial Statements (as part of the Annual Improvements to IFRSs 2009 - 2011 Cycle issued in May 2012)	The Annual Improvements to IFRSs 2009 - 2011 have made a number of amendments to IFRSs. The amendments that are relevant to the company are the amendments to IAS 1 regarding when a statement of financial position as at the beginning of the preceding period (third statement of financial position) and the related notes are required to be presented. The amendments specify that a third statement of financial position is required when a) an entity applies an accounting policy retrospectively, or makes a retrospective restatement or reclassification of items in its financial statements, and b) the retrospective application, restatement or reclassification has a material effect on the information in the third statement of financial position. The amendments specify that related notes are not required to accompany the third statement of financial position. This amendment did not have any impact on the Group's financial statements as the Group did not restate its prior period financial statements.
IAS 19 Employee Benefits (as revised in 2011)	IAS 19 (as revised in 2011) changes the accounting for defined benefit plans and termination benefits. The most significant change relates to the accounting for changes in defined benefit obligations and plan assets. The amendments require the recognition of changes in defined benefit obligations and in the fair value of plan assets when they occur, and hence eliminate the 'corridor approach' permitted under the previous version of IAS 19 and accelerate the recognition of past service costs. All actuarial gains and losses are recognised immediately through other comprehensive income in order for the net pension asset or liability recognised in the consolidated statement of financial position to reflect the full value of the plan deficit or surplus. Furthermore, the interest cost and expected return on plan assets used in the previous version of IAS 19 are replaced with a 'net interest' amount under IAS 19 (as revised in 2011), which is calculated by applying the discount rate to the net defined benefit liability or asset. The application of the amendment had no effect on the Group's financial statements as the Group does not operate a defined benefit plan.

ii) Relevant new and amended standards and interpretations in issue but not yet effective in the year ended 31 December 2013

	Effective for annual periods beginning on or after
New and Amendments to standards	
IFRS 9 – Financial instruments	1 January 2015
Amendments to IFRS 9 and IFRS 7 – mandatory effective date of	
IFRS 9 and transition disclosures	1 January 2015
Amendments to IFRS 10, IFRS 12 and IAS 27 – investment entities	1 January 2015
Amendments to IAS 32 – offsetting financial assets and financial liabilities	1 January 2015



1 ACCOUNTING POLICIES (CONTINUED)

Adoption of new and revised International Financial Reporting Standards (IFRS) (Continued)

iii) Impact of new and amended standards and interpretations on the financial statements for the year ended 31 December 2013 and future annual periods

IFRS 9 Financial Instruments

IFRS 9, issued in November 2009, introduced new requirements for the classification and measurement of financial assets. IFRS 9 was amended in October 2010 to include requirements for the classification and measurement of financial liabilities and for derecognition.

Key requirements of IFRS 9:

- All recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement are required to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair value at the end of subsequent accounting periods. In addition, under IFRS 9, entities may make an irrevocable election to present subsequent changes in the fair value of an equity investment (that is not held for trading) in other comprehensive income, with only dividend income generally recognised in profit or loss.
- With regard to the measurement of financial liabilities designated as at fair value through profit or loss, IFRS 9 requires that the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is presented in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Under IAS 39, the entire amount of the change in the fair value of the financial liability designated as fair value through profit or loss is presented in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss.

The application of this standard is likely to have an impact on amounts reported in these financial statements. However it is not practicable to provide a reasonable estimate on the effects of IFRS 9 until a detailed review has been completed.

Amendments to IFRS 10, IFRS 12 and IAS 27 Investment Entities

The amendments to IFRS 10 define an investment entity and require a reporting entity that meets the definition of an investment entity not to consolidate its subsidiaries but instead to measure its subsidiaries at fair value through profit or loss in its consolidated and separate financial statements.

To qualify as an investment entity, a reporting entity is required to:

- Obtain funds from one or more investors for the purpose of providing them with professional investment management services.
- Commit to its investor(s) that its business purpose is to invest funds solely for returns from capital appreciation, investment income, or both.
- Measure and evaluate performance of substantially all of its investments on a fair value basis.

Consequential amendments have been made to IFRS 12 and IAS 27 to introduce new disclosure requirements for investment entities.

The directors of the Group do not anticipate that the Investment Entities amendments will have any effect on the company's financial statements as the Group is not an investment entity.



2 ACCOUNTING POLICIES (CONTINUED)

(iii) Impact of new and amended standards and interpretations on the financial statements for the year ended 31 December 2013 and future annual periods (continued)

Amendments to IAS 32 Offsetting Financial Assets and Financial Liabilities

The amendments to IAS 32 clarify the requirements relating to the offset of financial assets and financial liabilities. Specifically, the amendments clarify the meaning of 'currently has a legally enforceable right of set-off' and 'simultaneous realisation and settlement'.

The directors of the Group do not anticipate that the application of these amendments to IAS 32 will have a significant impact on the Group's financial statements as the Group does not have any financial assets and financial liabilities that qualify for offset.

(ii) Early adoption of standards

The Group did not early-adopt any new or amended standards in the period.

Basis of preparation

The Group prepares its financial statements under the historical cost convention, modified to include the revaluation of certain assets.

Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and entities controlled by the company and its subsidiaries. Control is achieved when the company:

- has power over the investee
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns

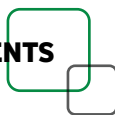
The company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the company has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The company considers all relevant facts and circumstances in assessing whether or not the company's voting rights in an investee are sufficient to give it power, including:

- the size of the Company's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the company, other vote holders or other parties;
- rights arising from other contractual arrangements; and
- any additional facts and circumstances that indicate that the Company has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns at previous shareholder's meetings.

Consolidation of a subsidiary begins when the company obtains control over the subsidiary and ceases when the company loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit or loss and other comprehensive income from the date the company gains control until the date when the company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income are attributed to the owners of the company and to the non-controlling interests. Total comprehensive income of subsidiaries is attributed to the owners of the Company and to the non-controlling interest even if this results in the non-controlling interests having a deficit balance.



ACCOUNTING POLICIES (CONTINUED)

Basis of preparation (Continued)

When necessary, adjustments are made to the financial statements for subsidiaries to bring their accounting policies into line with the Group's accounting policies.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to the transactions between the members of the Group are eliminated in full on consolidation.

Changes in the Group's ownership interests in existing subsidiaries

Changes in the Group's ownership interests in subsidiaries that do not result in the Group losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the Group's interest and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity and attributed to owners of the Company.

Revenue Recognition

(i) Sales of Goods

Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for estimated customer returns, rebates and other similar allowances.

Revenue from the sale of goods is recognised when all the following conditions are satisfied:

- the Group has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the Group retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the entity; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

(ii) Interest Income

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Foreign Currencies

The individual financial statements of each Group entity are presented in the currency of the primary economic environment in which the entity operates. For the purpose of the consolidated financial statements, the results and financial position of each Group entity are expressed in Kenya shillings, which is the functional currency of the company and the presentation currency for the consolidated financial statements.

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations are translated to Kenya shillings using exchange rates prevailing at the end of reporting date. Income and expense items are translated at the average exchange rates for the period. Exchange differences arising, if any, are recognised in other comprehensive income and accumulated in equity in the Group's translation reserve. Such differences are recognised in the profit or loss in the period in which the foreign operation is disposed of.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. All other borrowing costs are recognised in the statement of comprehensive income in the period in which they are incurred.



1 ACCOUNTING POLICIES (CONTINUED)

Taxation

The taxation charge represents the sum of the current taxation charge and the deferred taxation charge for the year.

Current taxation is provided for on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

A deferred taxation asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax credits can be utilised.

Property, plant and equipment

Property, plant and equipment are initially recorded at cost. All property, plant and equipment except computer equipment and furniture and fittings are subsequently shown at their revalued amounts based on valuations by external independent valuers, less accumulated depreciation and any accumulated impairment losses. Any revaluation increase arising on the revaluation of such property, plant and equipment is recognised in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluation of such property, plant and equipment is recognised in profit or loss to the extent that it exceeds the balance, if any, held in the property revaluation reserve relating to a previous revaluation of that asset.

Depreciation on revalued property, plant and equipment is recognised in profit or loss. Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to the statement of comprehensive income) and depreciation based on the asset's original cost is transferred from the revaluation reserves to retained earnings. On the subsequent sale or retirement of a revalued item of property, plant and equipment, the attributable revaluation surplus remaining in the item's revaluation reserve is transferred directly to retained earnings. No transfer is made from the revaluation reserve to retained earnings except when an asset is derecognised.

Depreciation

Depreciation is calculated to write off the cost or valuation of property, plant and equipment in equal annual instalments over their estimated useful lives. The annual rates in use are:

Freehold land	Nil
Buildings	2.5%
Heavy commercial vehicles and quarrying equipment	10%
Plant, machinery and equipment	5% to 15%
Motor vehicles	10% to 25%
Furniture and fittings	7.5% to 15%
Computer hardware	20% to 30%

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property, plant and equipment categories once the project is completed and commissioned.



1 ACCOUNTING POLICIES (CONTINUED)

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to an entity within the Group as a lessee. All other leases are classified as operating leases.

Assets held under finance leases are capitalised at their fair value on the inception of the lease and depreciated over their estimated useful lives. The finance charges are allocated over the period of the lease so as to achieve a constant rate of interest on the outstanding liability over the remaining term of the lease.

Payments to acquire leasehold interests in land are accounted for as operating lease prepayments and are amortised over the period of the lease.

Rental payments in respect of operating leases are charged to the statement of comprehensive income in the year to which they relate.

Intangible assets-computer software costs

Costs incurred on acquisition or development of computer software are accounted for at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on the straight line basis over the estimated useful life not exceeding a period of 4 years.

Goodwill

Goodwill arising on consolidation represents the excess of the cost of acquisition over the fair value of the Group's share of the net assets of the acquired subsidiary as at the date of acquisition. Goodwill is initially recognised as an asset at cost and is subsequently measured at cost less any accumulated impairment losses.

For the purpose of impairment testing, goodwill is allocated to the cash generating units expected to benefit from the synergies of the combination. Cash generating units to which goodwill has been allocated are tested for impairment annually. If the recoverable amount of the cash generating unit is less than the carrying amount of the unit, the impairment loss is allocated to reduce the carrying amount of the goodwill allocated to the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

Investment in subsidiaries

The investments in subsidiaries are stated at their acquisition cost less any accumulated impairment losses.

Inventories

Inventories are stated at lower of cost and net realisable values. Cost is calculated on the weighted average cost basis and includes direct production costs, labour and relevant transport costs. Work in progress comprises raw materials costs, direct labour costs, other direct costs and related production overheads. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Share-based payments

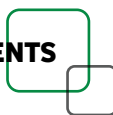
Equity-settled share-based payments to employees and others providing similar services are measured at the fair value of the equity instruments at the grant date.

Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified at an Annual General Meeting.

Cash and cash equivalents

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of advance.



1 ACCOUNTING POLICIES (CONTINUED)

Revaluation reserve

The revaluation reserve arises on the revaluation of property, plant and equipment. Where revalued assets are sold, the portion of the properties' revaluation reserve that relates to those assets is effectively realised and transferred directly to retained earnings.

Translation reserve

The foreign exchange differences relating to the translation of balances from the functional currencies of the Group's foreign subsidiaries into the Kenya Shilling, which is the functional currency of the Group, are brought to account by entries made directly to the foreign currency translation reserve.

Retirement benefit obligations

The Group contributes to the statutory National Social Security Fund in Kenya and Tanzania. The Group's obligations under the schemes are determined by local statute and are currently at Sh 200 per employee per month in Kenya and 10% of the gross pay of each employee in Tanzania. The Group's contributions are charged to the statement of comprehensive income in the year to which they relate. ARMSA (Pty) Limited and Mafeking Cement (Pty) Limited do not contribute to any retirement benefits scheme for their employees.

Employee benefits

Employees' entitlements to annual leave are recognised when they accrue to employees. Provision is made for the estimated liability in respect of annual leave accrued at the statement of financial position date.

Financial instruments

A financial asset or liability is recognised when the Group becomes party to the contractual provisions of the instrument.

Financial assets

Classification

The Group classifies its financial assets into the following categories: financial assets at fair value through profit or loss, loans and receivables, held-to-maturity financial assets and available-for-sale financial assets. The classification adopted for a particular financial asset depends on the purpose for which the asset was acquired. Management determines the classification of its financial asset at initial recognition and reevaluates this at every reporting date.

- (i) *Financial assets at fair value through profit or loss ("FVTPL")*
This category has two sub-categories: financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified into this category at inception if acquired principally for the purpose of selling in the short term, if it forms part of a portfolio of financial assets in which there is evidence of short term profit-taking or if so designated by management.
- (ii) *Loans and receivables*
Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.
- (iii) *Held-to-maturity financial assets*
Held-to-maturity financial assets are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than for an insignificant amount of held-to-maturity financial asset, the entire category would be reclassified as available-for-sale.



1 ACCOUNTING POLICIES (CONTINUED)

Financial Instruments (Continued)

(iv) Available-for-sale financial assets

This classification represents financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held-to-maturity.

Recognition of financial assets

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method.

Gains and losses arising from changes in the fair value of “financial assets at fair value through profit or loss” are dealt with in the statement of comprehensive income in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the statement of comprehensive income.

Derecognition of financial assets

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership.

Financial liabilities

Financial liabilities are classified as other financial liabilities.

Other financial liabilities

Other financial liabilities, including borrowings, are initially measured at fair value, net of transaction costs and are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group’s obligations are discharged, cancelled or they expire.

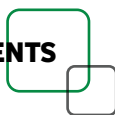
Impairment

At each balance sheet date, the Group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset’s recoverable amount is estimated and an impairment loss is recognised in the statement of comprehensive income whenever the carrying amount of the asset exceeds its recoverable amount.

Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle the obligation, and a reliable estimate can be made of the amount of obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of each reporting period, taking into account the risks and uncertainties surrounding the obligation.



1 ACCOUNTING POLICIES (CONTINUED)

Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision maker (Group management). Management allocates resources to and assess the performance of the operating segments of the Group. The operating segments are based on the Group's management and internal reporting structure. In accordance with IFRS 8 the Group has the following business segments; cement and lime and other products segments (see note 3).

Contingent liabilities

Contingent liabilities arise if there is a possible obligation; or a present obligation that may, but probably will not, require an outflow of economic resources; or there is a present obligation, but there is no reliable method to estimate the monetary value of the obligation.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 Critical accounting judgments and key sources of estimation and uncertainty in applying the entity's accounting policies

In the process of applying the Group's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods.

Key areas of judgement and sources of estimation uncertainty

The following are the critical judgements and key assumptions concerning the future, and other key sources of estimation uncertainty at the balance sheet date that have had the most significant effect on amounts recognised in the financial statements and that have a significant risk of causing material adjustment to the carrying amounts of assets and liabilities within the next financial year:

a) Critical judgements in applying accounting policies.

Deferred income tax

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

b) Key sources of estimation uncertainty

Property, plant and equipment and intangible assets

The Group reviews the estimated useful lives of property, plant and equipment and intangible assets at the end of each reporting period.



2 Critical accounting judgments and key sources of estimation and uncertainty in applying the entity's accounting policies (Continued)

b) Key sources of estimation uncertainty (Continued)

Impairment

At each reporting date, the Group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Any impairment losses are recognised as an expense immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss, other than that arising from goodwill, is recognised as income immediately.

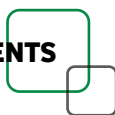
Determining whether goodwill is impaired requires an estimation of the value in use of the cash generating units to which goodwill has been allocated.

Contingent liabilities

The Group is exposed to various contingent liabilities in the normal course of business.

The Directors evaluate the status of these exposures on a regular basis to assess the probability of the Group incurring related liabilities. However, provisions are only made in the financial statements where, based on the Directors' evaluation, a present obligation has been established.

Contingent liabilities are disclosed in note 29 to the financial statements.



3 Operating segments

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Chief Operating Decision Maker in order to allocate resources to the segments and to assess their performance. In contrast, the predecessor Standard (IAS 14 Segment Reporting) required an entity to identify two sets of segments (business and geographical), using a risks and returns approach, with the entity's 'system of internal financial reporting to key management personnel' serving only as the starting point for the identification of such segments. Following the adoption of IFRS 8, the identification of the Group's reportable segments has not changed.

The bulk of the Group operations are within Kenya, Tanzania and South Africa. The critical business segments are:

- Cement and lime.
- Other products

	Cement and lime		Other Products		Total	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
Sales and other income	12,329,742	9,443,065	2,165,140	2,036,619	14,494,882	11,479,684
Expenditure	10,370,064	7,677,833	2,124,758	2,011,554	12,494,822	9,689,387
Profit before taxation	<u>1,959,678</u>	<u>1,765,232</u>	<u>40,382</u>	<u>25,065</u>	<u>2,000,060</u>	<u>1,790,297</u>
Total assets	<u>27,000,572</u>	<u>22,910,135</u>	<u>2,704,682</u>	<u>4,042,965</u>	<u>29,705,254</u>	<u>26,953,100</u>
Total liabilities	<u>21,163,587</u>	<u>19,237,603</u>	<u>318,217</u>	<u>594,977</u>	<u>21,481,804</u>	<u>19,832,580</u>
Depreciation and amortization	<u>558,779</u>	<u>313,364</u>	<u>89,736</u>	<u>117,955</u>	<u>648,515</u>	<u>431,319</u>
Capital expenditure	<u>4,528,684</u>	<u>3,017,339</u>	<u>19,780</u>	<u>23,455</u>	<u>4,548,464</u>	<u>3,040,794</u>

Revenue reported above represents revenue generated from external customers.



3 Operating segments (Continued)

Geographical information

	Kenya Sh'000	Tanzania Sh'000	South Africa Sh'000	Rwanda Sh'000	Eliminated on consolidation Sh'000	Total Sh'000
31 December 2013						
Sales and other income	9,910,391	4,319,345	112,419	330,680	(177,953)	14,494,882
Cost of sales and other expenditure	(8,056,173)	(4,053,766)	(149,008)	(354,400)	118,525	(12,494,822)
Profit before taxation	1,854,218	265,579	(36,589)	(23,720)	(59,428)	2,000,060
Assets	23,520,329	14,845,279	237,031	470,669	(9,368,054)	29,705,254
Liabilities	15,374,142	14,457,700	340,620	330,043	(9,020,983)	21,481,522
Depreciation and amortisation	420,981	216,382	3,779	7,373	-	648,515
Capital expenditure	465,952	4,042,604	-	39,908	-	4,548,464
31 December 2012						
Sales and other income	10,450,040	816,503	154,620	400,243	(286,042)	11,535,364
Cost of sales and other expenditure	(8,709,063)	(774,698)	(153,755)	(393,594)	286,042	(9,745,068)
Profit before taxation	1,740,977	41,805	865	6,649	-	1,790,296
Assets	21,419,918	11,428,845	265,350	418,090	(6,579,103)	26,953,100
Liabilities	14,308,119	11,208,264	354,216	226,320	(6,264,339)	19,832,580
Depreciation and amortisation	384,716	28,046	3,487	8,671	-	424,920
Capital expenditure	535,054	2,504,002	-	6,736	-	3,045,792



		GROUP	
		2013 Sh'000	2012 Sh'000
4	Finance Costs		
	Interest payable on:		
	- Loans	502,058	664,443
	- Bank Overdrafts	169,248	155,558
	- Finance Leases	140	4
			
	Total borrowing costs	671,446	820,005
	Less: Amounts included in the cost of qualifying assets (note 21(a))	(225,241)	(321,043)
			
		446,205	498,962
	Net foreign exchange gain on borrowings	(6,272)	(22,014)
			
		439,933	476,948
5	Finance Income		
	Interest receivable:	90,561	26,489
6	Profit before taxation		
	The profit before taxation is arrived at after charging:		
	Depreciation on property, plant and equipment (note 12(a))	641,000	424,831
	Depreciation on strategic spares (note 17)	23,471	10,919
	Amortisation of operating lease prepayments (note 13)	1,956	68
	Amortisation of intangible assets (note 14)	5,559	5,511
	Operating lease rentals - motor vehicles	4,056	28,300
	Directors' emoluments: - fees (non-executive)	8,400	5,338
	- other emoluments (executive)	133,950	99,588
	Staff costs (note 7)	663,253	533,632
	Auditors' remuneration - company	4,285	3,635
	- subsidiaries	6,356	5,598
	Loss on disposal of property, plant and equipment	229	291
7	Staff costs		
	Wages and salaries	631,467	531,612
	Social security cost (NSSF)	6,333	4,941
	Leave pay	20,888	(2,921)
			
		658,688	533,632
	Executive Directors' emoluments	142,350	145,748
			
		801,038	679,380

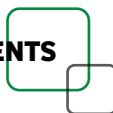
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(CONTINUED)



	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
8 Taxation				
a) Taxation charge				
Current taxation charge based on taxable income:	656,280	176,544	656,280	167,753
Prior year over provision	-	(12,949)	-	-
				
Total borrowing costs	656,280	163,595	656,280	167,753
				
Deferred tax:				
- (Credit)/charge (note 22)	(5,023)	370,184	(84,306)	361,704
- Prior year under/ (over) provision (note 22)	-	10,879	-	(14,699)
				
	(5,023)	381,063	(84,306)	347,005
				
	651,257	544,658	571,974	514,758
				
b) Reconciliation of tax charge to expected taxation based on accounting profit:				
Profit before taxation	2,000,060	1,790,296	1,854,218	1,741,152
Tax calculated at a tax rate of 30%	600,018	537,089	556,265	522,346
Tax effect of:				
- Income not subject to tax	-	35	-	-
- Expenses not deductible for tax purposes	51,239	9,604	15,709	7,111
Prior year current taxation over provision	-	(12,949)	-	-
Prior year deferred taxation under/(over) provision	-	10,879	-	(14,699)
				
Taxation charge	651,257	544,658	571,974	514,758
				
c) Current tax (recoverable)/payable movement				
At 1 January	6,232	(72,052)	(12,867)	(105,135)
Taxation charge	656,280	163,595	656,280	167,753
Taxation paid	(180,805)	(85,311)	(176,307)	(75,681)
Exchange difference	3,159	-	-	196
				
At 31 December	484,866	6,232	467,106	(12,867)
				
Comprising				
Income tax recoverable	-	(12,867)	-	(12,867)
Income tax payable	484,866	19,099	467,106	-
				
	484,866	6,232	467,106	(12,867)
				

Tax recoverable and payable balances have not been offset in the statement of financial position as the Group does not have a legal right of offset.



9 Profit for the year

The profit attributable to shareholders dealt with in the company separate financial statements is Sh 1,282,244,000 (2012 – Sh 1,226,394,000).

10 Earnings per share

Basic earnings per share has been calculated by dividing the profit for the year attributable to equity holders of the parent company by the number of ordinary shares in issue at the reporting date. The basic and diluted earnings per share are the same as there are no dilutive effects on earnings.

	2013	2012
Profit attributable to ordinary shareholders (Sh'000)	1,356,335	1,241,573
Weighted average number of ordinary shares in issue (note 20)	495,275,000	495,275,000
Basic and diluted earnings per ordinary share (Sh)	2.74	2.51

11 Dividends

a) Dividends per share

The Directors propose the payment of a first and final dividend of Sh 0.6 (2012 – Sh 0.5) per share totalling Sh 297,165,000 in respect of the year ended 31 December 2013 (2012 – Sh 247,637,500).

The dividends payable are subject to, where applicable, deduction of withholding tax as required under the Kenyan Income Tax Act, Chapter 470 Laws of Kenya.

b) The movement in the dividends payable account is as follows:

	GROUP & COMPANY	
	2013 Sh'000	2012 Sh'000
At 1 January	3,479	3,479
Final dividends declared	247,638	198,110
Dividends paid	(247,704)	(198,110)
At 31 December	3,413	3,479

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

12(a) Property, plant and equipment-Group

	Freehold land Sh'000	Buildings on leasehold land Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer hardware, plant, machinery, motor vehicles furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
At 1 January 2012	257,158	3,122,341	181,972	6,060,759	7,729,926	17,352,156
Additions	26,274	7,125	52,716	39,340	2,917,621	3,043,076
Transfers	-	2,023,719	-	1,859,292	(3,883,011)	-
Disposals	-	-	-	(2,290)	-	(2,290)
Translation difference	2,435	9,320	143,365	(86,651)	(503,375)	(434,906)
At 31 December 2012	285,867	5,162,505	378,053	7,870,450	6,261,161	19,958,036
At 1 January 2013	285,867	5,162,505	378,053	7,870,450	6,261,161	19,958,036
Additions	19,527	3,251	49,089	39,936	4,436,661	4,548,464
Transfers	-	-	-	9,179	(9,179)	-
Disposals	-	-	-	(920)	-	(920)
Translation difference	(7,303)	5,456	17,446	37,311	(117,849)	(64,939)
At 31 December 2013	298,091	5,171,212	444,588	7,955,956	10,570,794	24,440,641
Comprising						
At cost	48,476	4,581,279	303,589	3,042,139	10,570,794	18,546,277
At valuation 2009	249,615	589,933	140,999	4,913,817	-	5,894,364
	298,091	5,171,212	444,588	7,955,956	10,570,794	24,440,641
Depreciation						
At 1 January 2012	-	90,529	35,571	783,204	-	909,304
Charge for the year	-	80,348	23,126	321,357	-	424,831
Eliminated on disposal	-	-	-	(1,302)	-	(1,302)
Translation difference	-	12,542	(12,839)	2,822	-	2,525
At 31 December 2012	-	183,419	45,858	1,106,081	-	1,335,358
At 1 January 2013	-	183,419	45,858	1,106,081	-	1,335,358
Charge for the year	-	130,253	43,139	467,608	-	641,000
Eliminated on disposal	-	-	-	(718)	-	(718)
Translation difference	-	(382)	48,768	(25,691)	-	22,695
At 31 December 2013	-	313,290	137,765	1,547,280	-	1,998,335
NET BOOK VALUE (REVALUATION BASIS)						
At 31 December 2013	298,091	4,857,922	306,823	6,408,686	10,570,794	22,442,306
At 31 December 2012	285,867	4,979,086	332,195	6,764,369	6,261,161	18,622,678
NET BOOK VALUE (COST BASIS)						
At 31 December 2013	208,616	2,481,902	170,454	3,546,905	14,675,895	21,083,770
At 31 December 2012	200,435	3,383,957	146,046	4,392,419	8,607,421	16,730,278

Property, plant and equipment were revalued on 31 December 2009, by Peter Huth, Registered Valuers and Estate Agents who are independent of the group. Land and buildings were valued on an open market value basis while plant and equipment were valued on a depreciated replacement cost basis. Included above are assets with a total cost of Sh 53,950,423 (2012 – Shs 35,233,996) which were fully depreciated as at 31 December 2013. The normal depreciation charge would have been Shs 11,238,521 (2012 – Sh 7,542,700).



12(b) Property, plant and equipment - Company

	Freehold land Sh'000	Buildings on leasehold land Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer hardware, plant, machinery, motor vehicles furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
Cost or valuation						
At 1 January 2012	257,158	2,926,283	172,464	5,624,427	1,026,609	10,006,941
Additions	26,274	7,125	52,716	20,502	428,437	535,054
Disposals	-	-	-	(2,290)	-	(2,290)
At 31 December 2012	283,432	2,933,408	225,180	5,642,639	1,455,046	10,539,705
At 1 January 2013	283,432	2,933,408	225,180	5,642,639	1,455,046	10,539,705
Additions	14,657	3,251	9,665	36,255	411,303	475,131
Transfers	-	-	-	9,179	(9,179)	-
Disposals	-	-	-	(920)	-	(920)
At 31 December 2013	298,089	2,936,659	234,845	5,687,153	1,857,170	11,013,916
Comprising						
At cost	48,474	2,419,486	93,846	773,336	1,857,170	5,192,312
At valuation 2009	249,615	517,173	140,999	4,913,817	-	5,821,604
	298,089	2,936,659	234,845	5,687,153	1,857,170	11,013,916
Depreciation						
At 1 January 2012	-	78,399	32,645	577,765	-	688,809
Charge for the year	-	73,245	19,246	292,191	-	384,682
Eliminated on disposal	-	-	-	(1,315)	-	(1,315)
At 31 December 2012	-	151,644	51,891	868,641	-	1,072,176
At 1 January 2013	-	151,644	51,891	868,641	-	1,072,176
Charge for the year	-	73,336	22,760	296,255	-	392,351
Eliminated on disposal	-	-	-	(718)	-	(718)
At 31 December 2013	-	224,980	74,651	1,164,178	-	1,463,809
NET BOOK VALUE (REVALUATION BASIS)						
At 31 December 2013	298,089	2,711,679	160,194	4,522,975	1,857,170	9,550,107
At 31 December 2012	283,432	2,781,764	173,289	4,773,998	1,455,046	9,467,529
NET BOOK VALUE (COST BASIS)						
At 31 December 2013	203,746	2,481,902	151,081	2,956,017	2,398,826	8,191,572
At 31 December 2012	163,181	2,544,852	108,657	3,189,890	1,568,549	7,575,129

Property, plant and equipment were revalued on 31 December 2009, by Peter Huth, Registered Valuers and Estate Agents who are independent of the group. Land and buildings were valued on an open market value basis while plant and equipment were valued on a depreciated replacement cost basis. Freehold land and buildings with a net book value of Sh 1,465,878,347 (2012 – Sh 1,465,878,347) have been charged to secure banking facilities granted to the company as disclosed in note 21.

Included above are assets with a total cost of Sh 50,862,992 (2012 – Sh 35,233,996) which were fully depreciated as at 31 December 2013. The normal depreciation charge would have been Sh 11,184,353 (2012 – Sh 7,542,700).



12(b) Property, plant and equipment - Group & Company (Continued)

Details of the fair value hierarchy for both group's property plant and equipments held at fair value as at 31 December 2013 are as follows:

	Level 1 Sh'000	Level 2 Sh'000	Level 3 Sh'000	Total Sh'000
31 December 2013				
Freehold land	-	298,089	-	298,089
Buildings on leasehold land	-	2,711,679	-	2,711,679
Heavy commercial vehicles and Quarrying equipment	-	160,194	-	160,194
Plant and machinery	-	4,522,975	-	4,522,975
				
	-	7,692,937	-	7,692,937

13 Operating lease prepayments

	Group Sh'000	Company Sh'000
COST		
At 1 January 2012	179,688	2,707
Translation difference	(480)	-
		
At 31 December 2012	179,208	2,707
		
At 1 January 2013	179,208	2,707
Addition	4,870	-
Translation difference	(34,414)	-
		
At 31 December 2013	149,664	2,707
		
AMORTISATION		
At 1 January 2012	2,361	833
Charge for the year	973	68
Translation difference	(2,008)	-
		
At 31 December 2012	1,326	901
		
At 1 January 2013	1,326	901
Charge for the year	1,956	68
Translation difference	(2,381)	-
		
At 31 December 2013	901	969
		
NET BOOK VALUE		
At 31 December 2013	148,763	1,738
At 31 December 2012	177,882	1,806

The translation difference arises from translation of prior year balances for consolidated subsidiaries from the subsidiaries' reporting currency to the parent company's reporting currency.



14 Intangible Assets

	Group Sh'000	Company Sh'000
COST		
At 1 January 2012	121,655	16,900
Additions	48,002	6,256
Translation difference	(690)	-
.....		
At 31 December 2012	168,967	23,156
.....		
At 1 January 2013	168,967	23,156
Addition	88,049	1,095
Translation difference	(37,377)	-
.....		
At 31 December 2013	219,639	24,251
.....		
AMORTISATION		
At 1 January 2012	20,127	15,671
Charge for the year	1,336	1,281
Translation difference	2,386	-
.....		
At 31 December 2012	23,849	16,952
.....		
At 1 January 2013	23,849	16,952
Charge for the year	5,559	5,511
Translation difference	(4,380)	-
.....		
At 31 December 2013	25,028	22,463
.....		
NET BOOK VALUE		
At 31 December 2013	194,611	1,788
At 31 December 2012	145,118	6,204

The translation difference arises from translation of prior year balances for consolidated subsidiaries from the subsidiaries' reporting currency to the parent company's reporting currency.



15 Goodwill

On 24 January 2009, Athi River Mining Limited acquired all the shares held by the minority shareholders in ARM Tanzania Limited. On 1 December 2012, Athi River Mining Limited acquired 35% equity interest in and also effectively acquired control of Kigali Cement Company Limited whose principal activity is to buy raw materials and to produce finished cement for the Rwanda market. Goodwill arising from the above transactions is shown below:

	2013 Sh'000	2012 Sh'000
Balance at the beginning of the year	71,012	71,012
Impairment during the year	-	-
		
Balance at year end	71,012	71,012
Allocation of goodwill to the acquired subsidiaries		
ARM Tanzania Limited	50,908	50,908
Kigali Cement Company Limited	20,104	20,104
		
	71,012	71,012

During the current financial year, the Directors assessed the recoverable amount of goodwill and determined that the goodwill was not impaired. The recoverable amount of each cash generating unit was assessed by reference to value in use, including the value of the land and the rights over mineral deposits.

16(a) Investment in subsidiaries

	2013 Sh'000	2012 Sh'000
ARM (Tanzania) Limited	252,317	252,317
ARM SA (Pty) Limited	33,014	33,014
Mavuno Fertilizer Limited	7,259	7,259
Maweni Limestone Limited	52	52
Mafeking Cement (Pty) Limited	75,000	75,000
Kigali Cement Company Limited	85,000	85,000
		
	452,642	452,642

Details of the subsidiary companies are as follows:

Company	Percentage holding	Country of incorporation and domicile	Principal activity
ARM (Tanzania) Limited	100%	Tanzania	Extraction and processing of limestone
ARMSA (Pty) Limited	100%	South Africa	Manufacture of silicate liquid
Mavuno Fertilizer Limited	100%	Kenya	Manufacture of fertiliser
Maweni Limestone Limited	100%	Tanzania	Manufacture of Cement
Mafeking Cement (Pty) Limited	70%	South Africa	Not yet operational
Kigali Cement Company Limited	35%	Rwanda	Manufacture of Cement
ARM Rwanda Limited	100%	Rwanda	Not operational
ARM Africa Cement (MAU) Limited	100%	Mauritius	Not operational
ARM Rhino Cement Limited	100%	Mauritius	Not operational



16(a) Investment in subsidiaries (Continued)

In 2011, Athi River Mining Limited acquired 35% equity interest in and also effectively acquired control of Kigali Cement Company Limited, whose principal activity is to buy raw materials and to produce finished cement for the Rwanda market and export. The board of directors of Kigali Cement Company Limited comprises seven board members of which four represent Athi River Mining Limited. Athi River Mining therefore has a majority voting right of 53.84% in addition to exercising management control of the Company.

Athi River Mining Limited also holds 100% of the equity interest in other companies which are all dormant. These are ARM Zambia Limited, ARM Energy Limited, ARM Mineral and Chemical Limited, Sukam Development Company Limited and ARM Botswana Limited. These companies, together with ARM Africa Cement (Mau) Limited, ARM Rhino Cement Limited as shown above, have not yet commenced operations and have not been consolidated in view of the insignificance of the amounts involved.

16(b) Non controlling interests

The total non-controlling interest for the period is Shs 99,332,000 of which Shs 111,955,000 is attributable to Kigali Cement Company Limited and Shs (12,623,000) is attributed to Mafeking Cement (Pty) Limited.

	2013 Sh'000	2012 Sh'000
Balance at the beginning of the year	106,749	103,869
Share of the (loss)/income for the year	(7,532)	4,065
Share of other comprehensive (loss)/income for the year	475	(1,185)
		
	99,692	106,749

Summarised financial information on subsidiaries with material non- controlling interests

The total non-controlling interest for the period is Shs 99,692,000 of which Shs 111,955,000 is attributable to Kigali Cement Company Limited and Shs (12,623,000) is attributed to Mafeking Cement (Pty) Limited which is not material for the group.

Set out below are the summarised financial information for Kigali Cement Company Limited for which the non-controlling interest is material to the group.

	2013 Sh'000	2012 Sh'000
NCI percentage	65%	65%
Current Assets	101,659	48,999
Current Liabilities	(180,053)	(82,999)
		
	(78,394)	(34,000)
		
Non-current Assets	287,650	256,133
Non-current Liabilities	(45,694)	(43,123)
		
	241,956	213,010
		
Net assets	163,562	179,010



16(b) Non controlling interests (Continued)

Summarised financial information on subsidiaries with material non- controlling interests (Continued)

	2013 Sh'000	2012 Sh'000
Summarised income statement		
Revenue	310,777	400,176
Net (loss) / profit	(11,904)	585
		
Profit allocated to NCI	(8,002)	4,329
		
Summarised cash flows:		
Cashflow from operating activities	60,442	71,719
Cashflow from investing activities	(39,908)	(41,273)
Cashflow from financing activities	2,571	(15,559)
		

17 Inventories

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
Raw materials	1,029,250	2,133,852	645,147	1,099,025
Finished goods	236,266	200,989	189,018	181,028
Packaging materials	71,996	100,597	55,389	96,043
Stores, spares and laboratory inventories	867,473	636,824	681,068	566,089
Work in progress	1,085	1,035	1,085	1,035
Goods in transit	381,178	276,108	29,520	234,535
Impairment provision on spare parts	(57,253)	(33,782)	(57,253)	(33,782)
				
	2,529,995	3,315,623	1,543,974	2,143,973

Depreciation amounting to Sh 23,471,000 (2012- Sh 10,919,000) has been charged to the strategic spares.

18 Trade and other receivables

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
Trade receivables	1,660,999	1,176,730	1,531,062	1,045,839
Other receivables and prepayments	1,123,217	802,589	52,899	100,679
				
	2,784,216	1,979,319	1,583,961	1,146,518



19 Due from Employee Share Option Plan (ESOP) - Loan and receivables

In 2005, the Company established an Employee Share Ownership Plan (ESOP) for purposes of encouraging employees to own shares in the Company. This is a separate trustee administered plan operating within the ESOP rules as contained in the plan's Trust Deed.

The amount due from ESOP is accounted for as a loan and receivable financial instrument. At each reporting period end, the Group reviews the outstanding balance from the ESOP to determine whether the receivable is impaired. Any impairment loss is recognised through profit or loss in the year in which it arises. There was no impairment in 2013. The movement in the ESOP receivable balance during the year is as shown below;

	GROUP & COMPANY	
	2013 Sh'000	2012 Sh'000
Amount due from ESOP		
At 1 January 2012	31,697	38,216
Repayments	(11,111)	(6,519)
		
At 31 December	20,586	31,697

20 Share Capital

Authorised: 675,000,000 ordinary shares of Sh 1 each	675,000	675,000
Issued and fully paid: 495,275,000 fully paid ordinary shares of Sh 1 each	495,275	495,275

At the 2008 Annual General Meeting held on June, 9 2008, the shareholders authorised Directors;

a) to exercise borrowing powers of the Company to borrow money or raise capital or other finance (in any currency) for the purpose of facilitating the expansion of the Company's operations and to create and issue unsecured convertible bonds or notes to any person lending such money or granting such capital or finance.

b) In their sole discretion and as they deem fit and at such premium as they may determine (but subject to such regulatory and other authorisations, consents, filings and approvals as required by law), to allot and issue by way of private transaction or offer up to a maximum of 25,000,000 ordinary shares of Kenya shillings Five (Sh 5.00) each in the Capital of the Company, credited as fully paid and ranking pari passu in all respects with the existing ordinary shares of Kenya Shillings Five (Sh 5.00) each by way of redemption and in exchange for such convertible bond or notes.

21 (a) Borrowings – Group

	2013 Sh'000	2012 Sh'000
Bank loans	9,556,146	10,710,345
Aureos income note	1,726,000	860,000
Equity linked notes*	1,600,000	1,600,000
Bank overdrafts	3,385,740	1,821,047
		
Total	16,267,886	14,991,392



21 (a) Borrowings – Group (Continued)

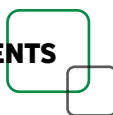
	2013 Sh'000	2012 Sh'000
On demand or within one year	4,267,066	3,917,145
In the second year	1,001,987	1,178,841
After 2 years but within 5 years	2,456,852	4,320,917
After 5 years	8,541,981	5,574,489
		
Total	16,267,886	14,991,392
Less: amount due for settlement within one year	(4,267,066)	(3,917,145)
		
Amount due for settlement after one year	12,000,820	11,074,247

Analysis of borrowings by currency

	Borrowings in US\$'000	Kshs Equivalent Sh'000	Borrowings in local currency Sh'000	Total Borrowings Sh'000
2013				
Bank loans	64,321	5,454,377	4,101,769	9,556,146
Bank overdrafts	15,118	1,304,719	2,081,021	3,385,740
Aureos income note	20,000	1,726,000	-	1,726,000
Equity linked notes*	-	-	1,600,000	1,600,000
				
At December 2013	99,439	8,485,096	7,782,790	16,267,886
2012				
Bank loans	68,751	5,912,593	4,797,752	10,710,345
Bank overdrafts	11,960	1,028,536	792,511	1,821,047
Aureos income note	10,000	860,000	-	860,000
Equity linked notes*	-	-	1,600,000	1,600,000
				
At December 2012	90,711	7,801,129	7,190,263	14,991,392

*The equity linked notes were raised by way of private placement. They are unsecured notes that have a coupon rate of 12% with an equity upside on maturity of up to 1.2% depending on ARM Cement Ltd's share price performance on the Nairobi Securities Exchange. The notes are redeemable in full on 20 April 2015.

The borrowing costs capitalized in relation to construction and installation of qualifying assets during the year amount to Sh 225,241,000 (2012 – Sh 321,043,000).



21 (a) Borrowings – Group (Continued)

	2013 %	2012 %
Bank overdrafts (Sh)	15.50	14.50
Bank overdrafts (US \$)	4.50	4.50
Bank loans (Sh)	13.00	13.00
Bank loans (US \$)	5.50	5.50
Equity linked notes (Sh)	12.00	12.00
		

(b) Borrowings – Company

	2013 Sh'000	2012 Sh'000
Bank loans	6,518,684	6,186,743
Bank overdrafts	1,722,079	1,821,046
Aureos income note	1,726,000	860,000
Equity linked notes	1,600,000	1,600,000
		
	11,566,763	10,467,789

The borrowings are repayable as follows:

On demand or within one year	3,400,434	2,879,200
In the second year	242,622	1,008,608
After 2 years but within 5 years	141,092	3,772,774
After 5 years	7,782,615	2,807,207
		
Total	11,566,763	10,467,789
Less: amount due for settlement within one year	(3,400,434)	(2,879,200)
		
Amount due for settlement after one year	8,166,329	7,588,589

Analysis of borrowings by currency

	Borrowings in US\$'000	Kshs Equivalent Sh'000	Borrowings in local currency Sh'000	Total Borrowings Sh'000
2013				
Bank loans	64,321	5,454,377	1,064,307	6,518,684
Bank overdrafts	15,118	1,304,719	417,360	1,722,079
Aureos income note	20,000	1,726,000	-	1,726,000
Equity linked notes*	-	-	1,600,000	1,600,000
				
At December 2013	99,439	8,485,096	3,081,667	11,566,763



21 (b) Borrowings – Company (Continued)

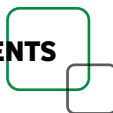
	Borrowings in US\$'000	Kshs Equivalent Sh'000	Borrowings in local currency Sh'000	Total Borrowings Sh'000
2012				
Bank loans	68,751	5,912,593	274,150	6,186,743
Bank overdrafts	11,960	1,028,536	792,510	1,821,046
Aureos income note	10,000	860,000	-	860,000
Equity linked notes*	-	-	1,600,000	1,600,000
				
At December 2012	90,711	7,801,129	2,666,660	10,467,789

The average interest rates incurred on the borrowing during the year were as follows:

	2013 %	2012 %
Bank overdrafts (Sh)	15.50	14.50
Bank loans (Sh)	13.00	13.00
Bank loans (US\$)	5.50	5.50
Equity linked notes (Sh)	12.00	12.00
		

(c) Borrowings analysed by lending institutions

	2013 Sh'000	2012 Sh'000
(i) ARM Cement Limited		
Loans		
Eastern and Southern African Trade and Development Bank (PTA Bank)	66,839	139,585
Stanbic Bank Kenya Limited	423,288	760,653
Citibank NA	507,647	910,588
African Finance Corporation (AFC) *	4,456,603	4,349,709
Bank overdrafts		
Barclays Bank of Kenya Ltd	142,104	157,037
Stanbic Bank (K) Ltd	671,011	933,854
Fina Bank Limited	217,053	184,964
Citibank NA	478,499	393,462
Bank of Africa Limited	213,411	151,729
Other borrowings		
Commercial paper	1,064,307	26,208
Equity linked note	1,600,000	1,600,000
AUREOS – Convertible Note	1,726,000	860,000
(ii) Maweni Limestone Limited		
Loans		
Eastern and Southern African Trade and Development Bank (PTA Bank)	1,126,817	1,415,991
Development Bank of South Africa Limited	1,797,837	2,132,548
Stanbic Bank Mauritius	1,663,660	845,342



21 (c) Borrowings analysed by lending institutions (Continued)

	2013 Sh'000	2012 Sh'000
(iii) ARM (Rwanda) Limited		
Bank Commercial Du Rwanda Ltd - loan	67,116	83,522
(iv) Kigali Cement Company Limited - loans		
Bizimungu Jean Berchmans	45,694	44,504
Bank Commercial Du Rwanda Ltd	-	1,696
		
	16,267,886	14,991,392

As at 31 December 2013, the company had outstanding letters of credit amounting to Sh 214,931,253 (2012 – Sh 811,795,598).

*** African Finance Corporation (AFC) facility**

At an Annual General Meeting held on 12 June 2007, the shareholders approved and authorised the directors to raise new funding through a convertible debt. The offer to Africa Finance Corporation was approved by the regulatory authorities. In 2012, the Company issued to Africa Finance Corporation 50 convertible notes of USD 1,000,000 each for a tenure of 6 years at an annual interest of 5% payable quarterly plus 2.5% interest accrued every quarter and payable on maturity. The notes are redeemable at a premium of 10% on maturity or the holder may convert the notes into new ordinary shares at a fixed rate of \$0.64 per share any time during the six year tenor.

During the year ended 31 December 2013, the company capitalised interest amounting to USD 1,650,439 being total interest charged in the year which brought the total amount owed to the African Finance Corporation to USD 51,650,439 (Sh 4,456,602,212).

(d) Details of securities

The borrowings from African Finance Corporation (AFC) is secured by a first Ranking asset debenture dated 12 February 2013 for the aggregate amount of KES 240,000,000, created by the Borrower in favour of the Bank ranking pari passu with the debentures created by the borrower in favour of Barclays Bank of Kenya LTD, Bank of Africa Kenya Limited, PTA Bank, Citibank, CFC Stanbic Bank and Standard Chartered Bank Limited. First Ranking legal charges (Supplemental to the above debenture) for KES 240,000,000 created by the borrower in favour of the bank over property: Title Numbers: Mbwaka/Maereni 119, 120, 151, 539, 552, 554, 555, 556, 576, 577, 578, 582, 666, 670 & 672, Land Ref Numbers 337/52, 53, 57, 663, 669 & 846, Title Numbers Mbwaka/Marreni 112 and 581 ranking pari-passu with the legal charges/Mortgages created by the Borrower in favour of Barclays Bank of Kenya Ltd, Bank of Africa Kenya Ltd, CFC Stanbic Bank, Citibank, Standard Chartered Bank and PTA Bank.

The general short term borrowings, letters of credit and foreign currency facilities with CFC Stanbic Bank Limited are secured by a first ranking debenture over all the company's assets for Sh 225,000,000 and USD 19,134,000 together with a first legal charge for Sh 225,000,000 and USD 19,134,000 over the company's freehold and leasehold properties ranking pari passu with the legal charges in favour of other lenders, Barclays Bank of Kenya Limited, Citibank NA and Bank of Africa Kenya Limited.

The overdraft facility and letters of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture stamped for Sh 120,000,000 over all the assets of the company. The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties for Sh 264,000,000 and a debenture of Sh 264,000,000 over all the assets of the Group.



21 Borrowings (Continued)

(d) Details of securities (Continued)

The loan from Eastern and Southern African Trade and Development Bank (PTA) is secured by an all assets debenture of USD 5,940,000.

ARM Cement Limited is a guarantor to Maweni Limestone Limited's obligations to Eastern and Southern African Trade and Development Bank, Development Bank of Southern Africa Limited and East African Development Bank under facilities agreements amounting to US \$ 50,000,000.

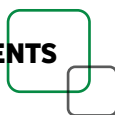
The Equity linked notes are unsecured and mature in 2015.

The Aureos income note is unsecured and matures in 2015.

22 Deferred income tax

Deferred income tax is calculated on all temporary differences under the liability method using the currently enacted tax rate of 30% for Kenya, Tanzania and Rwanda and 29% for South Africa.

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
The net deferred taxation liability is attributable to the following items:				
Liabilities:				
Accelerated capital allowances	1,695,455	1,753,667	1,600,172	1,711,331
Revaluation surplus on property plant and equipment	538,593	524,174	538,593	524,174
Unrealised exchange gains	30,501		20,463	
				
	2,264,549	2,277,841	2,159,228	2,235,505
				
Assets:				
Leave pay provision	(3,125)	(3,314)	(3,125)	(3,314)
Unrealised exchange losses	-	(5,423)	-	(5,423)
Bonus provision	-	(3,276)	-	(3,276)
Inventory impairment provision	(17,176)	-	(17,176)	-
General bad debt provision	(10,200)	(10,459)	(10,200)	(10,459)
				
	(30,501)	(22,472)	(30,501)	(22,472)
				
Net deferred taxation liability	2,234,048	2,255,369	2,128,727	2,213,033
The movement on the deferred taxation account is as follows:				
At 1 January	2,255,369	1,864,392	2,213,033	1,866,224
Income statement (credit)/charge (note 8(a))				
- current year	(5,023)	370,184	(84,306)	361,704
- prior year (over)/under provision	-	10,879	-	(14,895)
Exchange adjustment	(16,298)	9,914	-	-
				
At 31 December	2,234,048	2,255,369	2,128,727	2,213,033



23(a) Finance leases - Group

	Minimum lease payments (including finance charges)		Present value of minimum lease payment (excluding finance charges)	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
Amounts payable under finance leases:				
Within one year	186	244	186	193
In the second to fifth years inclusive	88	165	70	130
				
	256	409	256	323
Less: Future finance charges	(72)	(86)	(72)	-
				
Present value of lease obligations	139	323	184	323
Less: Amount due for settlement within 12 months			(114)	(199)
				
Amounts due for settlement after 12 months			70	124

23(b) Finance leases - Company

	Minimum lease payments (including finance charges)		Present value of minimum lease payment (excluding finance charges)	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
Amounts payable under finance leases:				
Within one year	186	244	114	193
In the second to fifth years inclusive	88	165	70	130
				
	256	409	184	323
Less: Future finance charges	(72)	(86)	-	-
				
Present value of lease obligations	184	323	184	323
Less: Amount due for settlement within 12 months			(114)	(199)
				
Amounts due for settlement after 12 months			70	124

23(c) Finance leases - analysis by cash flows:

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
At 1 January	323	707	323	566
New financing received	-	-	-	-
Repayments	(139)	(243)	(139)	(243)
Exchange adjustment	-	(141)	-	-
				
	184	323	184	323

It is the Group's policy to acquire some of its motor vehicles through finance leases. The average lease term is 4 years. The weighted average rate of interest accruing on the obligations under finance lease agreements during the year was 13.50 % (2012: 13.50 %). Interest rates are fixed at the contract date. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

The carrying value of the company's motor vehicles under lease obligations as at 31 December 2013 was Sh 184,000 (2012 – Sh 323,000).

The Group's obligations under the finance leases are secured by the lessor's legal charges over the leased assets.

24 Trade and other payables

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
Trade payables	1,726,879	1,811,064	870,217	984,236
Other payables and accruals	662,389	736,170	166,586	554,630
Leave pay provision	10,416	9,198	10,416	9,198
				
	2,399,684	2,556,432	1,047,219	1,548,064

25 Notes to the consolidated statement of cash flows

	2013 Sh'000	2012 Sh'000
(a) Reconciliation of profit before taxation to cash generated from operations		
Profit before taxation	2,000,060	1,790,296
Adjustments:		
Depreciation	641,000	424,831
Amortisation of operating lease prepayments	1,956	973
Amortisation of intangible assets	5,559	1,336
Finance cost recognised in profit before tax	446,205	498,962
Finance income recognised in profit before tax	(90,561)	(26,489)
Net unrealised foreign exchange gain	(6,272)	(22,014)
Loss on disposal of property, plant and equipment	229	291
Working capital changes:		
Decrease/(increase) in inventories	785,628	(1,895,470)
Increase in trade and other receivables	(804,897)	(75,446)
Movement in related party balances	83,545	(61,732)
Decrease/(increase) in trade and other payables	(156,748)	651,401
Decrease in due from ESOP	11,111	6,519
		
Cash generated from operations	2,916,815	1,293,458



25 Notes to the consolidated statement of cash flows

	2013 Sh'000	2012 Sh'000
(b) Analysis of additions to property, plant and equipment		
Additions in the year (note 12(a))	4,548,464	3,043,076
Less:		
Interest capitalised (note 4)	(225,241)	(321,043)
		
Acquisition in cash	4,323,223	2,722,033
(c) Analysis of cash flow by borrowings (note 21(a))		
At 1 January	13,170,345	9,084,252
Received	469,655	5,221,351
Repayment	(757,826)	(694,759)
Exchange adjustment	(28)	(440,499)
		
	12,882,146	13,170,345
(d) Analysis of cash and cash equivalents		
Cash and bank balances	161,800	320,874
Bank overdrafts (note 21(a))	(3,385,740)	(1,821,047)
Short-term deposits (US dollar denominated)	1,344,925	2,270,400
		
	(1,879,015)	770,227

The effective interest rate on the deposits as at 31 December 2013 was 0.29 % (2012 – 0.27%).

	2013 Sh'000	2012 Sh'000
(e) Analysis of interest paid		
Interest included in the cost of qualifying assets (note 4)	225,241	321,043
Interest charged to profit or loss (note 4)	446,205	498,962
		
Acquisition in cash	671,446	820,005

26 Related party transactions and balances

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Related parties also include the management personnel, their associates and close family members.

In the normal course of business, transactions are conducted with related parties at terms and conditions similar to those offered to other customers. Transactions with related parties during the year and related party outstanding balances as at the year end are disclosed below;

26 Related party transactions and balances (Continued)

	2013 Sh'000	2012 Sh'000
(a) Transactions		
Sales:		
ARM (Tanzania) Limited	-	11
ARMSA (Pty) Limited	5,552	423,114
Maweni Limestone Limited	218	1,407
Kigali Cement Company Limited	164,503	30,293
		
	170,273	454,825

The outstanding balances arising from sale and purchase of goods and services between the company and its related parties are as shown below:

	2013 Sh'000	2012 Sh'000
(b) Due from related parties – Group		
ARM Rhino Cement Limited	3,365	3,069
ARM Africa Cement (MAU) Limited	3,496	2,561
Rhino Special Products Limited	179	-
		
	7,040	5,630
(c) Due from related parties – Company		
Maweni Limestone Limited	5,835,723	3,263,986
ARM (Tanzania) Limited	465,922	425,842
ARMSA (Pty) Limited	149,700	163,623
Mafeking Cement Company Limited	272,368	207,490
ARM Africa Cement (MAU) Limited	3,496	2,691
ARM Rhino Cement Limited	3,365	2,561
Kigali Cement Company Limited	176,593	55,483
Maweni Limestone Limited (Dar es salaam)	2,045,921	1,749,587
		
	8,953,088	5,871,263
(d) Due to related parties – Group		
Rhino Special Products Limited	3,746	-
Due to Directors	87,695	6,486
		
	91,441	6,486
(e) Due to related parties – Company		
Due to Directors	83,234	3,049
Due to ARM (Rwanda) Limited	47,976	72,293
Due to ARM (SA) Limited	29,520	-
		
	160,730	75,342



26 Related party transactions and balances (Continued)

(f) Key management compensation

The remuneration of Directors and other members of key management during the year were as follows:

	2013 Sh'000	2012 Sh'000
Salaries and other benefits	288,030	239,015
(g) Directors' remuneration		
Fees for services as Directors (non executive)	8,400	5,338
Other emoluments (included in key management compensation)	133,950	112,644
		
	142,350	117,982

All the companies disclosed in the note are subsidiaries except Chiromo Holdings limited which is related through common Directorship.

27 Operating lease commitments

The company as a lessee:

Rental payments during the year amounted to Sh 37,657,215 (2012 – Sh 26,300,000). At the balance sheet date, the company had contracted for the following future lease payables:

	2013 Sh'000	2012 Sh'000
Within one year	52,933	31,077
In the second to fifth year inclusive	93,220	50,777
		
	146,153	81,854

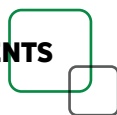
Leases are negotiated for an average term of five years and rentals are reviewed as per the provisions of the lease agreements. The leases are not cancellable unless one is in breach of the conditions provided for in the lease agreements.

28 Capital commitments

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
Authorised and contracted for	1,344,925	2,270,400	426,440	173,000
Authorised but not contracted for	516,000	3,949,466	516,000	103,236

29 Contingent liabilities

	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
Guarantees	23,000	22,682	23,000	22,682



30 Financial risk management

The Group's activities expose it to a variety of financial risks including credit, liquidity and market risks which mainly comprise effects of changes in foreign currency and interest rates risk. The Group's overall risk management programme focuses on unpredictability of changes in the business environment and seeks to minimise the potential adverse effect of such risks on its performance by setting acceptable levels of risk.

Risk management is carried out by the Group's senior management under policies approved by the Board of Directors. Senior management identify, evaluate and where possible hedge financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas.

The Group has policies in place to ensure that sales are made to customers with an appropriate credit history. There has been no change to the Group's exposure to market risks or the manner in which it manages and measures the risk from the prior year.

Market risk

(i) Foreign exchange risk

The Group is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US dollar. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities. Monetary assets and liabilities held in foreign currencies are closely monitored to ensure that the risk of being materially affected by adverse foreign currency fluctuations is effectively managed and minimised.

The Group has a natural hedge of its foreign exchange risk on foreign currency denominated borrowings by matching commitments on dollar borrowings obligations with dollar denominated sales receipts.

At 31 December 2013, if the Kenya Shilling had weakened/strengthened by 5% against the US dollar with all other variables held constant, the pre tax profit for the year would have been Sh 2,508,000 (2012: Sh 1,101,000) higher/lower, mainly as a result of translation of US dollar payables and bank balances.

(ii) Interest rate risk

The Group is exposed to interest rate risk as it borrows funds both at fixed and floating interest rates. The risk is managed by the Group through a close management monitoring control. During the year, an increase/decrease of 5 percentage points on average borrowing rates would have resulted in an increase/decrease in pre tax profit by Sh 17,496,000 (2012 - Sh 22,523,000).

Credit risk

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the Group. The Group has adopted a policy of only dealing with creditworthy counterparties as a means of mitigating the risk of financial loss from defaults. The Group's exposure and the credit rating of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the management annually.

Trade receivables consist of a large number of customers, spread across diverse geographical areas. On an ongoing basis, a credit evaluation is performed on the financial condition of accounts receivable.

The Group does not have any significant credit risk exposure to any single counterparty or any Group of counterparties having similar characteristics. The Group defines counterparties as having similar characteristics if they are related entities. Concentration of credit risk did not exceed 5% of gross monetary assets at any time during the year.

The carrying amount of financial assets carried in the financial statements representing the Group's maximum exposure to credit risk without taking account of the value of any collateral obtained is as follows:



30 Financial risk management (Continued)

	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000	Total Sh'000
At December 2013				
Trade receivables	1,632,111	28,888	43,473	1,704,472
Provision for impairment	-	-	(43,473)	(43,473)
				
	1,632,111	28,888	-	1,660,999
Due from related parties	7,040	-	-	7,040
Investments in short term deposits	1,344,925	-	-	1,344,925
Bank balances	156,409	-	-	156,409
				
	3,140,485	28,888	-	3,169,373

The amount that best represents the Group's maximum exposure to credit risk as at 31 December 2012 is made up as follows:

	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000	Total Sh'000
At December 2012				
Trade receivables	1,148,329	28,401	106,979	1,283,709
Provision for impairment	-	-	(106,979)	(106,979)
				
	1,148,329	28,401	-	1,176,730
Due from related parties	55,630	-	-	55,630
Investments in short term deposits	2,270,400	-	-	2,270,400
Bank balances	320,874	-	-	320,874
				
	3,795,233	28,401	-	3,823,634

The customers under the fully performing category are paying their debts as they continue trading. The default rate is low.

The debt that is overdue is not impaired and continues to be paid. The finance department is actively following this debt.

The debt that is impaired has been fully provided for. However, the finance department is following up on the impaired debt.

30 Financial risk management (Continued)

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has developed and put in place an appropriate liquidity risk management framework for the management of the Group's short, medium and long-term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities

The table below analyses the Group's financial liabilities that will be settled on a net basis into relevant maturity Groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying amounts, as the impact of discounting is not significant.

	Less than 1 month Sh'000	Between 1-3 months Sh'000	Over 3 months Sh'000	Over 12 months Sh'000	Total Sh'000
At 31 December 2013					
Borrowings	28,122	911,440	2,398,114	29,360,775	32,698,451
Finance lease obligations	-	184	-	-	184
Trade payables	275,191	1,136,989	314,699	-	1,726,879
Due to related parties	-	-	3,726	-	3,726
	303,313	2,048,613	2,716,539	29,360,775	34,429,240
At 31 December 2012					
Borrowings	-	403,146	1,028,980	12,598,085	14,030,211
Finance lease obligations	-	323	-	-	323
Trade payables	288,606	1,192,417	330,041	-	1,811,064
Due to related parties	-	6,486	-	-	6,486
	288,606	1,602,372	1,359,021	12,598,085	15,848,084

31 Capital risk management

The Group manages its capital to ensure that entities in the Group will be able to continue as going concerns while maximising the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the Group consists of debt, which includes the borrowings, cash and cash equivalents and equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings and other services.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt.



31 Capital risk management (Continued)

Details of the Group's capital and gearing ratio are provided below;

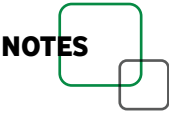
	GROUP		COMPANY	
	2013 Sh'000	2012 Sh'000	2013 Sh'000	2012 Sh'000
Share capital	495,275	495,275	495,275	495,275
Share premium	302,027	302,027	302,027	302,027
Revaluation surplus	950,975	1,324,680	950,975	1,398,911
Retained earnings	6,427,905	4,945,503	6,392,257	4,983,946
Translation reserve	(52,142)	(53,714)	-	-
				
Equity	8,124,040	7,013,771	8,140,534	7,180,159
Total borrowings including finance lease	16,268,070	15,145,553	11,566,763	10,645,116
Less: cash and bank balances	(1,506,725)	(2,591,274)	(1,406,792)	(2,279,459)
				
Net debt	14,761,345	12,554,279	10,159,971	8,365,657
				
Total capital	22,885,385	19,568,050	18,300,505	15,545,816
Gearing	65%	64%	56%	54%

32 Incorporation

The company is domiciled and incorporated in Kenya under the Kenyan Companies Act.

33 Currency

The financial statements are presented in thousands of Kenya Shillings (Sh'000).





We actively participate in social investment activities in our communities by giving our time and passion to help increase the prosperity of Africa



BUILDING PEOPLE BUILDING COMMUNITIES BUILDING AFRICA

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Kigali Cement Company,
Kigali, Rwanda

ARM SA (PTY) LIMITED
Johannesberg
South Africa